# Chapter 18

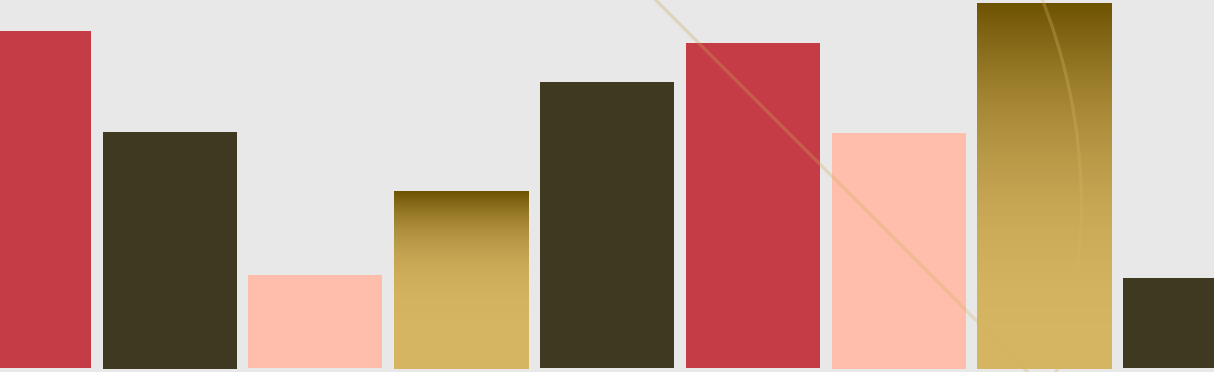
| | |
|---|---|
| Book | |
| Importance | |
| Mid/Final | Mid |
| Time to read | |

## Terms

Liquidity:

It is a measure of the company's ability to convert its assets into cash quickly and efficiently in order to pay its bills, meet its payroll obligations, and make other short-term payments. If a company is not liquid enough, it may have to resort to borrowing or selling assets in order to meet its obligations, which can be costly and can damage the company's long-term financial health.

| Ratio | Formula | Purpose or Use |
|---|---|---|
| **Liquidity Ratios** | | |
| 1. Current ratio | $\frac{\text{Current assets}}{\text{Current liabilities}}$ | Measures short-term debt-paying ability. |
| 2. Acid-test (quick) ratio | $\frac{\text{Cash + Short-term investments + Receivables (net)}}{\text{Current liabilities}}$ | Measures immediate short-term liquidity. |
| 3. Receivables turnover | $\frac{\text{Net credit sales}}{\text{Average net receivables}}$ | Measures liquidity of receivables. |
| 4. Inventory turnover | $\frac{\text{Cost of goods sold}}{\text{Average inventory}}$ | Measures liquidity of inventory. |
| **Profitability Ratios** | | |
| 5. Profit margin | $\frac{\text{Net income}}{\text{Net sales}}$ | Measures net income generated by each dollar of sales. |
| 6. Asset turnover | $\frac{\text{Net sales}}{\text{Average assets}}$ | Measures how efficiently assets are used to generate sales. |
| 7. Return on assets | $\frac{\text{Net income}}{\text{Average assets}}$ | Measures overall profitability of assets. |
| 8. Return on common stockholders' equity | $\frac{\text{Net income} - \text{Preferred dividends}}{\text{Average common stockholders' equity}}$ | Measures profitability of owners' investment. |
| 9. Earnings per share (EPS) | $\frac{\text{Net income} - \text{Preferred dividends}}{\text{Weighted average common shares outstanding}}$ | Measures net income earned on each share of common stock. |
| 10. Price-earnings (P-E) ratio | $\frac{\text{Market price per share of stock}}{\text{Earnings per share}}$ | Measures the ratio of the market price per share to earnings per share. |
| 11. Payout ratio | $\frac{\text{Cash dividends}}{\text{Net income}}$ | Measures percentage of earnings distributed in the form of cash dividends. |
| **Solvency Ratios** | | |
| 12. Debt to total assets ratio | $\frac{\text{Total debt}}{\text{Total assets}}$ | Measures the percentage of total assets provided by creditors. |
| 13. Times interest earned | $\frac{\text{Income before income taxes and interest expense}}{\text{Interest expense}}$ | Measures ability to meet interest payments as they come due. |



## Introduction

- Language to communicate with end users (shareholders, creditors)

## Asset

- Gives economic benefit in the future.
- Example: Land, Machinery, Cash

2 types

- current asset — Expecting to convert it to cash in 1 year
- fixed asset / long term (land, equipment, furniture) — called **PPE**

## Liabilities

Current

- **Accounts Payable** (current liability) → Pay with cash in future
- **Accounts receivable** → Receive **cash** in future

- Salaries Payable

## Intangible asset

- Good will, good behavions
  ↓
  Brand value, loyalty

## Notes payable

If the maturity date (<= 1 year)
current liebility

Long term
## Bonds payable

## Inventory

Items left after selling

- → Raw Material
- → Work in progress
- → Finished goods

## Owners Equity

- If the owner invests in the company that is called capital
- **Only 1 owner withdraws cash for personal use!**

  Owners drawing

  - **Beginning Capital**
  - selling stocks to public → public company limited

+ Investments

+ Net income

− Owners drawing

Ending Capital

} Owner's equity

**Revenue**: all the income

| Sales/Service, Rent, Interest |
|---|

**Expenses**:

| Salaries, Utilities, Rent |
|---|

Revenue

− Expenses

Net Profit/Loss

Net income

} Income statement

# Financial Statements

i) Statement of Comprehensive income
   Income Statement

ii) Statement of owners equity

iii) Statement of Financial Position
   Balance sheet → Assets, Liabilities and owners equity

iv) Statement of Cash flow
   Incoming and outgoing cash flow

v) Notes to the financial statement
   ↓
   audited by accounting firm

# Accounting

- The language of business or an information system that accountants use to communicate

the firm's financial and economic information to its stakeholders. The system includes identifying the transactions, recording, classifying, summarizing, preparing financial statements

Ledger

Trial balance

Journal

and communicating the financial reports to the firm's external

## Basic Accounting Information

$$A = L + OE$$

Assets = Liabilities + Owner's Equity

# Basic Accounting equation

A = L + OE

Assets = Liabilities + Owners equity

Owners capital − Owners drawings
+ Revenues − Expenses

Assets = Liability + Owners capital - drawings

| Transaction No. | Cash | + Furniture | Accounts Payable | |
|---|---|---|---|---|
| i) | −$10000 | +$10,000 | | |
| ii) | +$20,000 | | −$20,000 | |
| iii) | | +$5,000 | +$5000 | |
| iv) | −$5000 | | +$5000 | |
| v) | | | | |

Assets = Liabilities + Owners capital - drawings + Revenues - Expenses

| Cash | + Furniture | Account Receivable | Account Payable | | | | |
|---|---|---|---|---|---|---|---|
| -$10,000 | $10,000 | | | | | | |
| +$20,000 | | | | $20000 | | | |
| | +$5000 | | +$5000 | | | | |
| -$5000 | | | -$5000 | | | | |
| | | $500 | | | | $5000 | |
| +$500 | | -$500 | | | | | |
| -$1000 | | | | | -$1000 | | |
| -$2000 | | | | | | | -$2000 |
| $2500 | $15000 | | | $20000 | -$1000 | +$500 | -$2000 |

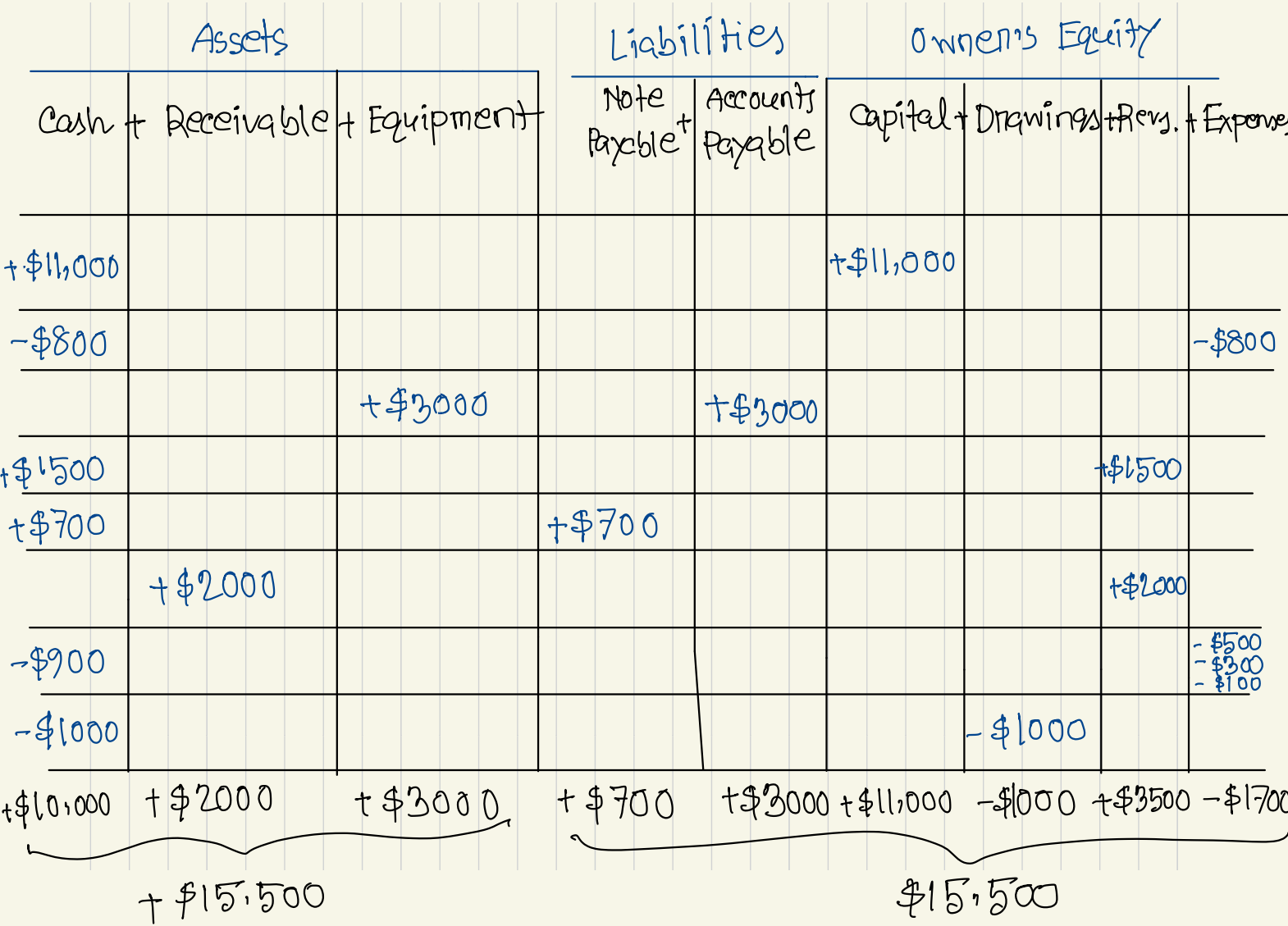
# Transaction

- Tabular analysis / Transaction Analysis
- Owners equity part will be the same

  Need to write the full name of expenses

C. Name
Income Statement
For the month ended September 30, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| Revenues | | |
| Service Revenue | | 4700 |
| Expenses | | |
| Salaries Expense | 900 | |
| Rent Expense | 600 | |
| Ads. Expense | 250 | |
| Utilities Expense | 200 | |
| Total Expenses | | 1950 |
| Net Income | | $2750 |


Assets
Liabilities
Owner's Equity
Cash + Receivable + Equipment
Note Payable + Accounts Payable
Capital + Drawings + Rev. + Expense
+$11,000
+$11,000
-$800
-$800
+$3000
+$3000
+$1500
+$1500
+$700
+$700
+$2000
+$2000
-$900
-$500
-$300
-$100
-$1000
-$1000
+$10,000 +$2000 +$3000 +$700 +$3000 +$11,000 -$1000 +$3500 -$1700
+$15,500
$15,500

P1-1A

P1-2A

Comphrehensive

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B

P1-1A(a)

| | Assets | | | | = Liabilities | + Owners Equity | | | |
|---|---|---|---|---|---|---|---|---|---|
| Transaction No | Cash + | Accounts Receivable + | Equipment + | Supplies + | Accounts Payable | N. Borne Capital | N. Borne Drawings | + Revenue | - Expenses |
| 1 | +$10,000 | | | | | $10,000 | | | |
| 2 | -$5000 | | $5000 | | | | | | |
| 3 | -$400 | | | | | | | | $400 |
| 4 | -$500 | | | $500 | | | | | |
| 5 | | | | | $250 | | | | $250 |
| 6 | +$5100 | | | | | | | $5100 | |
| 7 | -$1000 | | | | | | $1000 | | |
| 8 | -$2000 | | | | | | | | $2000 |
| 9 | -$140 | | | | | | | | $140 |
| 10 | | $750 | | | | | | $750 | |
| 11 | +$120 | -$120 | | | | | | | |
| | **$6180** | **$630** | **$5000** | **$500** | **$250** | **$10,000** | **$1000** | **$5850** | **-$2790** |
| | | $12,310 | | | | | $12,310 | | |

(b)

# Nancy Bonne

## Income Statement

For the month ended in June 1, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| **Revenues** | | |
| Repair Service | 5100 | |
| Repair Service | 750 | |
| Net Revenue | | 5850 |
| **Expenses** | | |
| Office Rent | 400 | |
| Advertising Cost | 250 | |
| Part-time employee salary | 2000 | |
| Utility bills | 140 | |
| Total expenses | | 2790 |
| **NET INCOME** | | **3060** |

P2-2A (a)

| | Assets | | | | = Liabilities | | + Owner's Equity | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| Transaction No. | Cash + | Accounts Receivable + | Supplies + | Equipment | Notes Payable | Accounts Payable | M. Gonzalez Capital | M. Gonzalez Drawings | Revenue | Expenses |
| 1 | $9000 | $1700 | $600 | $6000 | | $3600 | $13,700 | | | |
| 2 | -$2900 | | | | | -$2900 | | | | |
| 3 | +$1300 | -$1300 | | | | | | | | |
| 4 | -$800 | | | $2100 | | +$1300 | | | | |
| 5 | +$2500 | +$5500 | | | | | | | $8000 | |
| 6 | -$1000 | | | | | | | +$1000 | | |
| 7 | -$900 | | | | | | | | | +$1700 |
| | | | | | | | | | | $900 |
| | | | | | | | | | | $300 |
| 8 | | | | | | $170 | | | | $170 |
| 9 | +$10,000 | | | | $10,000 | | | | | |
| | $15,200 | $5900 | $600 | $8100 | $10,000 | $2170 | $13,700 | -$1000 | $8000 | -$3070 |

$29800

$29800

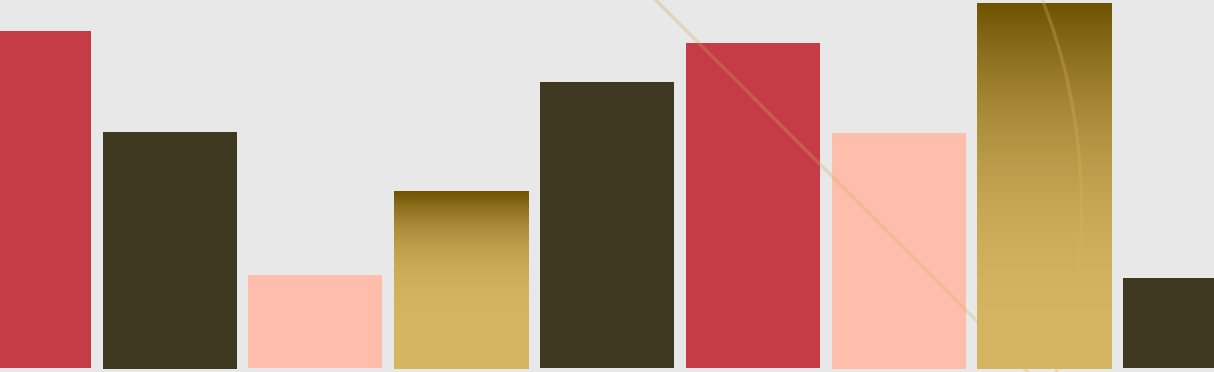
(b)

# Maria Gonzalez
## Income Statement
For the month ended in September 1, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| **Revenues** | | |
| Service revenue | 8000 | |
| Net revenue | | 8000 |
| **Expenses** | | |
| Rent expense | 900 | |
| Salaries expense | 1700 | |
| Advertising expense | 300 | |
| Utilities expense | 170 | |
| Total expenses | | 3070 |
| **NET INCOME** | | 4930 |

# Maria Gonzalez
# Balance Sheet
September 30

| | Payment $ | Amount $ |
|---|---|---|
| **Assets** | | |
| Cash | 15,200 | |
| Accounts Receivable | 5900 | |
| Supplies | 600 | |
| Equipments | 8100 | |
| Total Assets | | 29800 |
| **Liabilities and owners Equity** | | |
| **Liabilities** | | |
| Notes Payable | 10,000 | |
| Accounts Payable | 2170 | |
| Total Liabilities | | 12170 |
| **Owner's Equity** | | |
| M.Gonzalez Capital | | 17630 |
| Total Liabilites and Owner's Equity | | 29800 |



# JOAN ROBINSON ATTORNEY
## Statement of Owners Equity
For the month ended July 31, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| J. Robinson, Capital, July 1 | | |
| Add: Investments | 11,000 | |
| Net Income | 1800 | |
| | | 12800 |
| Less: | | |
| J. Robison, Drawings | | (1000) |
| J. Robinson, Capital, July 31 | | $11,800 |

# JOAN ROBINSON, ATTORNEY

## Balance Sheet

July 31, 2010

Owners drawings → $1500

# SKYLINE FLYING SCHOOL
## INCOME Statement
For the month ended May 31, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| **Revenues** | | |
| Lesson Revenue | | 7500 |
| **Expenses** | | |
| Rent expense | 1200 | |
| Repair expense | 400 | |
| Advertising expense | 500 | |
| Fuel expense | 2500 | |
| Insurance expense | 400 | |
| Total expenses | | 5000 |
| **NET INCOME** | | 2500 |

# SKYLINE FLYING SCHOOL

## Statement of Owners Equity

For the month ended May 31, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| John Wilkins Capital May 1 | | 0 |
| Add: Investments | 45000 | |
| Net Income | 2500 | |
| | | 47,500 |
| Less: | | |
| John Wilkins Drawings | | (1500) |
| John Wilkins Capital, May 31 | | **46000** |

a) 45,000

b) 115000 130000 45000

c) Ending capital = beginning capital + Investments + Net income - Drawings (4000)

$\Rightarrow 60{,}000 = 45000 + I + 30{,}000 - 25000$

$\Rightarrow I = 10{,}000$

f) $62{,}000 = 60000 + 15000 + 35000 - I$

$\Rightarrow I = 48{,}000$

i) $130000 = 45000 + 10000 +$

l) $170000 = 90000 + 15000 +$

$520000 - X - 2000$

$\Rightarrow X = 435{,}000$

P1-2B

P1-5B

Assets = Liabilities + Owner's Equity

| Transaction No | Cash + | Accounts Receivable + | Supplies + | Equipment + | Notes Payable | Account Payable | J. Brown Capital | J. Brown Drawings | Revenue | Expenses |
|---|---|---|---|---|---|---|---|---|---|---|
| 0 | +$5000 | $1500 | $500 | $6000 | | $4200 | $8800 | | | |
| 1 | +$1200 | -$1200 | | | | | | | | |
| 2 | -$2800 | | | | | -$2800 | | | | |
| 3 | +$3000 | +$5000 | | | | | | | $8000 | |
| 4 | -$400 | | | $2000 | | +$1600 | | | | |
| 5 | -$3800 | | | | | | | | | $2500<br>$900<br>$400 |
| 6 | -$700 | | | | | | | $700 | | |
| 7 | +$1500 | | | | +$1500 | | | | | |
| 8 | | | | | | +$220 | | | | $220 |
| | $3000 | $5300 | $500 | $8000 | $1500 | $3220 | $8800 | -$700 | $8000 | -$4020 |

$16,800 $16,800

Jenny Brown, Attorney
Income Statement
for the month ended August

| Particulars | Amount $ | Amount $ |
|---|---|---|
| **Revenues** | | |
| Earned revenue | | 8000 |
| **Expenses** | | |
| Salaries expense | 2500 | |
| Rent expense | 900 | |
| Advertising expense | 400 | |
| Utilities expense | 220 | |
| Total expenses | | (4020) |
| **NET INCOME** | | **$3980** |

Jenney Brown, Attorney
Owner's Equity
for the month ended in August

| Particulars | Amount $ | Amount $ |
|---|---|---|
| J. Brown Capital July 1 | | 0 |
| Add | | |
| Investments | 8800 | |
| Net Income | 3980 | |
| | | 12780 |
| Less | | |
| J. Brown Drawings | 700 | |
| | | (700) |
| J. Brown Capital | | 12,080 |

J. Brown Attorney
Balance Sheet
August 31

| Particulars | Amount $ | Amount $ |
|---|---|---|
| **Assets** | | |
| Cash | 3000 | |
| Account Receivable | 5300 | |
| Supplies | 500 | |
| Equipment | 8000 | |
| | | 16800 |
| **Liabilities and Owners Equity** | | |
| **Liability** | | |
| Notes Payable | 1500 | |
| Account Payable | 3220 | |
| Total Liabilities | | 4720 |
| **Owners Equity** | | |
| J. Brown Capital | | 12080 |
| Total Liabilities & Owners Equity | | 16800 |

# P1-5B

(a) Assets = Liabilities + Owner's Equity

$\Rightarrow$ Owner's equity = \$80,000 − \$48,000
= \$32,000

(b) Assets = \$60,000 + \$40,000
= \$1,00,000

(c) Ending capital = Beginning Capital + Investment
+ Net Income − Drawings

$\Rightarrow$ Additional Investment = 40,000 − 32,000 − 17,000
+ 15,000
= \$ 6000

(d) Liabilities = 90,000 − 40,000
= \$50,000

(e) Owner's equity = 1,12,000 − 72,000
= \$40,000

(f) D = (40,000 − 40,000 − 8000 − 25,000)

= \$33,000

(g) Assets = 80,000 + 49,000
= $1,29,000

(h) Liabilities = 1,80,000 − 70,000
= $1,10,000

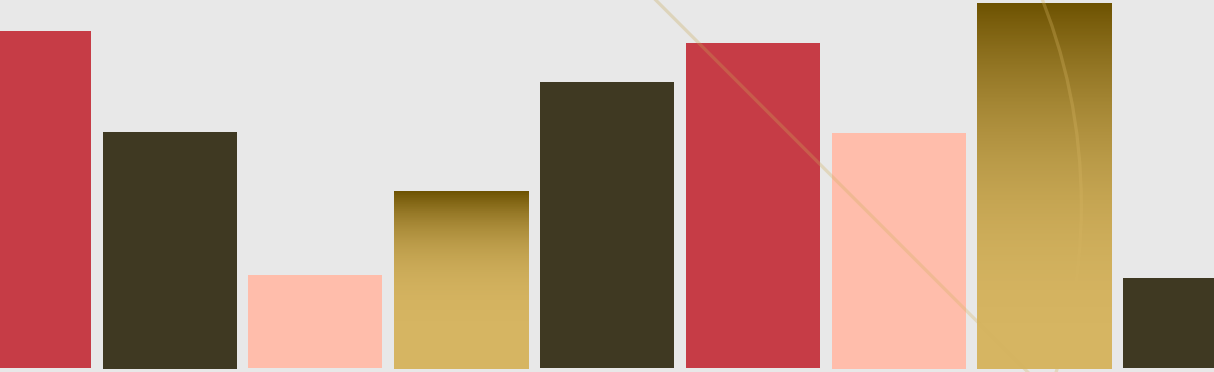
(i) TR = 70,000 − 49,000 − 10,000 + 12,000
+ 3,50,000
= $3,73,000

(j) Liabilities = 1,50,000 − 90,000
= $60,000

(k) Assets = 1,00,000 + 1,45,000
= $2,45,000

(l) TE = (1,45,000 − 90,000 − 15,000 + 10,000
− 5,00,000)

= $4,50,000



Luca Pacioli

## Double Entry System

1494

"Summa de arithmetica, geometria, proportioni et proportionalita"

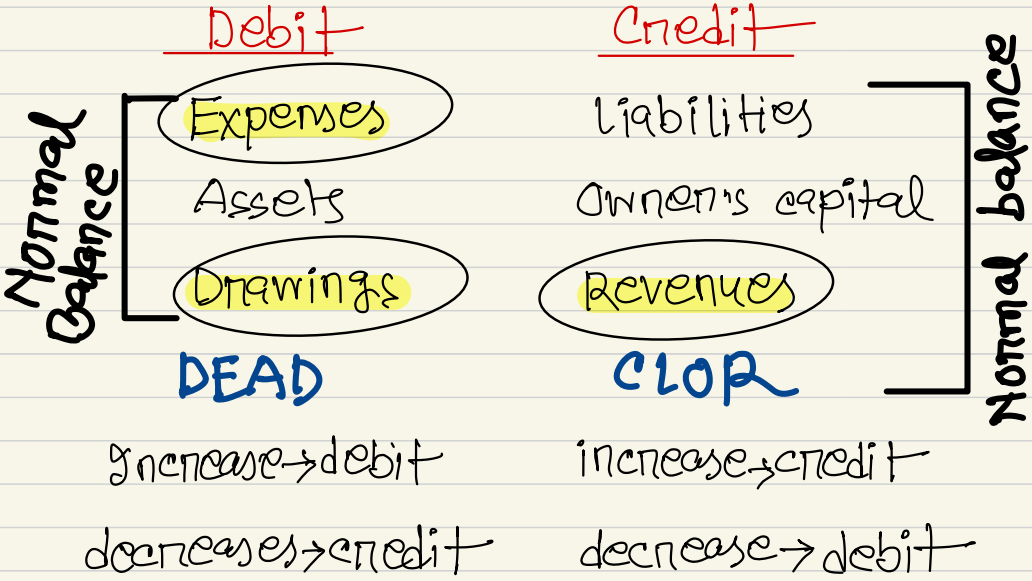
# Chapter 2

- What is double entry system?

Each transaction must affect two or more accounts to keep the basic equation in balance.

In each equation, debits must equal credits in their accounts.

The equality of credit and debit provides the basis for the double entry system of recording transactions.



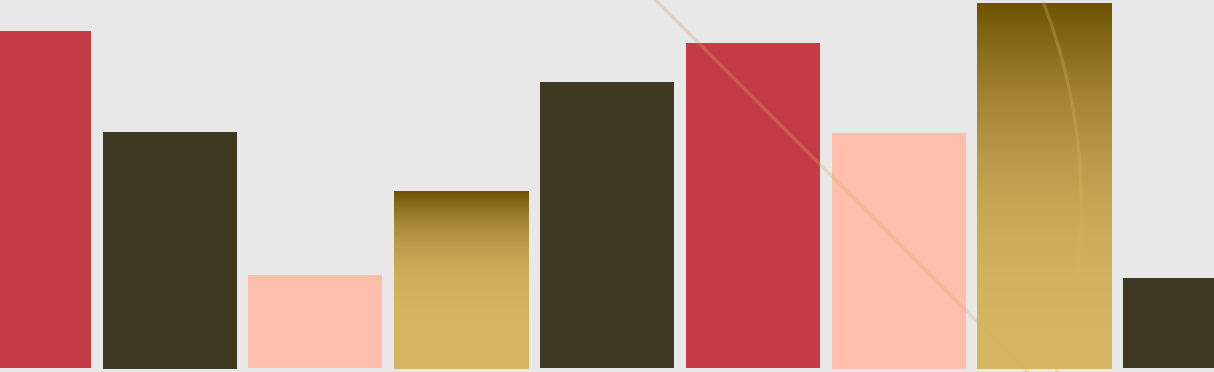

never decrease

Debit → Dr.
Credit → Cr.

| Date | Account title | | Ref | Debit $ | Credit $ |
|---|---|---|---|---|---|
| 2021 | | | | | |
| May 1 | Furniture | Dr. | | 10,000 | |
| | Cash | Cr. | | | 10,000 |
| May 3 | Cash | Dr. | | 30,000 | |
| | Owner's capital | Cr. | | | 30,000 |
| May 4 | Accounts receivable | Dr. | | 3000 | |
| | Service revenue | Cr. | | | 3000 |
| May 5 | Cash | Dr. | | 3,000 | |
| | Accounts receivable | Cr. | | | 3,000 |
| May 6 | Accounts Payable | Dr. | | 10,000 | |
| | Cash | Cr. | | | 10,000 |
| May 7 | Salaries expense | Dr. | | 5,000 | |
| | Cash | Cr. | | | 5,000 |
| May 8 | Owner's Drawing | Dr. | | 1,000 | |
| | Cash | Cr. | | | 1,000 |

- More than 1 account affected
  Compound Entry
- When there is no transaction we write,
  No transaction
- In ledger, we need to add,
  balance in each transaction

- Chart of Accounts
  The list of accounts that are used
- **Trial balance**
  All the transactions are summarized



B, C

P2-1A · 2A

Journal

| Date | Account title | | Ref | Debit $ | Credit $ |
|---|---|---|---|---|---|
| 2010 | | | | | |
| Sept 1 | Cash | Dr. | | 20,000 | |
| | B. Sample capital | Cr. | | | 20,000 |
| | Cash | Cr. | | | 1000 |
| Sept 2 | Stone rent | Dr. | | 1000 | |
| Sept 3 | laundry Equipment | Dr | | 25,000 | |
| | Cash | Cr | | | 10,000 |
| | Note payable | Cr. | | | 15,000 |
| | cash | Cr. | | | 1200 |
| Sept 4 | Prepaid Insurance | Dr. | | 1200 | |
| | Advertising expense | Dr. | | 200 | |
| Sept 10 | Accounts payable | Cr | | | 200 |
| | B. Sample drawing | Dr. | | 700 | |
| Sept 20 | Cash | Cr. | | | 700 |
| | Cash | Dr. | | 6200 | |
| Sept 30 | Service revenue | Cr. | | | 6200 |

DEAD CLOR
P U

# General Ledger

## Cash

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 1 | | | 20,000 | | 20,000 |
| 2 | | | | 1000 | 19,000 |
| 3 | | | | 10,000 | 9000 |
| 4 | | | | 1200 | 7800 |
| 20 | | | | 700 | 7100 |
| 30 | | | 6,200 | | 13,300 |

## Prepaid Insurance

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 4 | | | 1200 | | 1200 |

## Laundry equipment

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 3 | | | 25,000 | | 25,000 |

## Advertising expense

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 10 | | | 200 | | 200 |

## Bob Sample, Drawing

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 20 | | | 700 | | 700 |

## Bob Sample, Capital

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 1 | | | | 20,000 | 20,000 |

## Account Payable

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 10 | | | | 200 | 200 |

## Notes Payable

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 sept. 3 | | | | 15,000 | 15,000 |

## Service Revenue

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 30 | | | | 6200 | 6200 |

## Rent Expense

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| 2010 Sept 2 | | | 1000 | | 1000 |

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| | | | | | |

| Account title | Debit $ | Credit $ |
|---|---|---|
| | | |

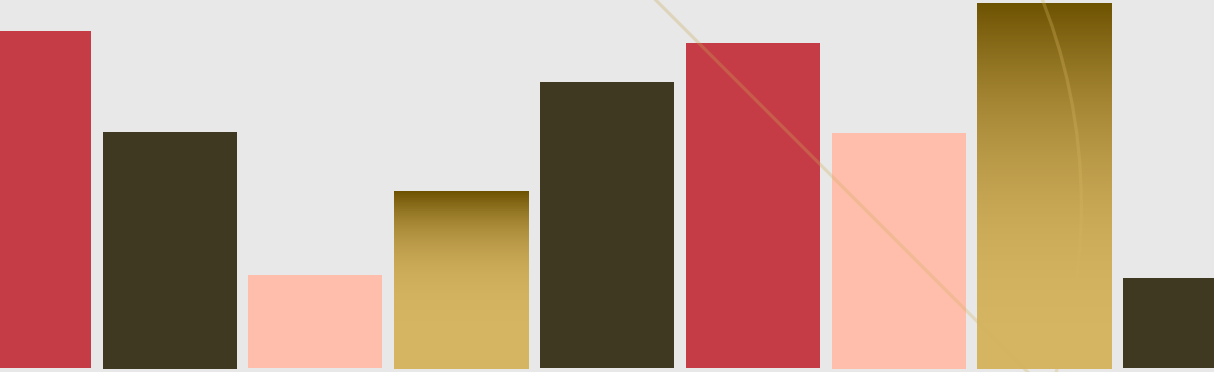
Campus Laundromat
Trial Balance
Sept 30, 2010

| Account title | Debit $ | Credit $ |
|---|---|---|
| Cash | 13,300 | |
| Prepaid Insurance | 1200 | |
| Laundry Equipment | 25,000 | |
| Notes payable | | 15,000 |
| Account payable | | 200 |
| B. Sample, Capital | | 20,000 |
| B. Sample, Drawing | 700 | |
| Service revenue | | 6200 |
| Advertising expense | 200 | |
| Rent expense | 1400 | |
| | $41,400 | $41,400 |

# P2-2A

## General Journal

| Date | Account title | | Ref. | Debit $ | Credit $ |
|---|---|---|---|---|---|
| May 1 | Cash | Dr. | | $25,000 | |
| | J. Kent Capital | Cr. | | | $25,000 |
| 2 | No transaction | | | | |
| 3 | Supplies | Dr. | | 2500 | |
| | Accounts Payable | Cr. | | | 2500 |
| 7 | Rent expense | Dr. | | 900 | |
| | Cash | Cr. | | | 900 |
| 11 | Cash | Dr. | | 2100 | |
| | Services revenue | Cr. | | | 2100 |
| 12 | Cash | Dr. | | 3500 | |
| | Unearned revenue | Cr. | | | 3500 |
| 17 | Cash | Dr. | | 1200 | |
| | Services revenue | Cr. | | | 1200 |
| 31 | Salaries expense | Dr. | | 2000 | |
| | Cash | Cr. | | | 2000 |
| 31 | Accounts Payable | Dr. | | 1000 | |
| | Cash | Cr. | | | 1000 |



# General Journal

| Date | Account title | | Adj. | Debit $ | Credit $ |
|---|---|---|---|---|---|
| Apr 1 | Cash | Dr. | | 40000 | |
| | M. Juarez Capital | Cr. | | | 40,000 |
| Apr 1 | No transaction | | | | |
| Apr 2 | Rent expense | Dr. | | 1000 | |
| | Cash | Cr. | | | 1000 |
| Apr 3 | Dental supplies | Dr. | | 4000 | |
| | Accounts payable | Cr. | | | 4000 |
| Apr 10 | Accounts receivable | Dr. | | 5100 | |
| | Services revenue | Cr. | | | 5100 |
| Apr 11 | Cash | Dr. | | 1000 | |
| | Unearned revenue | Cr. | | | 1000 |
| Apr 20 | Cash | Dr. | | 2100 | |
| | Services revenue | Cr. | | | 2100 |
| Apr 30 | Salaries expense | Dr. | | 2400 | |
| | Cash | Cr. | | | 2400 |
| Apr 30 | Accounts payable | Dr. | | 1600 | |
| | Cash | Cr. | | | 1600 |

Cash

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| Apr 1 | | | 40000 | | 40000 |
| 2 | | | | 1000 | 39000 |
| 11 | | | 1000 | | 40000 |
| 20 | | | 2100 | | 42100 |
| 30 | | | 2400 | | 39700 |
| 30 | | | | 1600 | 38100 |

Mania Juarez, Capital

| Date | Explanation | Ref. | Debit $ | Credit $ | Balance $ |
|---|---|---|---|---|---|
| | | | | | |

H.W P2-1B

# Chapter 3
# Adjusting Accounts

## Accrual-basis accounting

- Recognizing revenue when earned
- " expense when incurred

## Cash-basis account

- Record revenue when cash is earned
- " expense " " is given

Doesn't follow **GAP**

Generally Accepted Accounting Principle

**IAS** International accounting standard

**BAS** Bangladesh " "

## Revenue recognition principle

- Providing the service or selling the product
- Considered to be earned when, revenue is performed

## Matching Principle

- "Let expenses follow the revenue"
- Record related expense to the revenue in the same accounting period.

**"Efforts should be matched with accomplishments"** (matching principle)

**Efforts** → Expenses

**Accomplisments** → Revenue

Types of adjusting entries

Defennals

1) Prepaid expenses

11) Unearned revenue

Accruals

1) Accrued revenue

services provided, cash isn't received

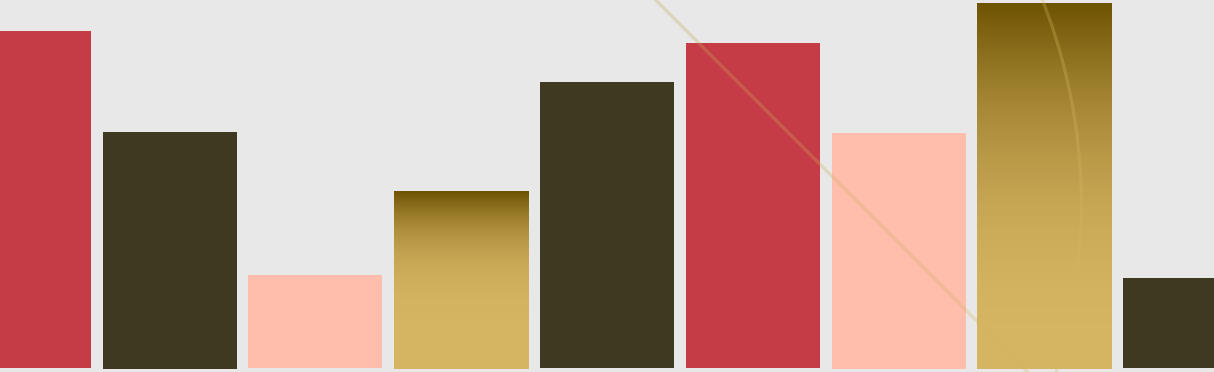
11) Accrued expense

expense incurred but cash isn't paid

P2-1B

# General Journal

| Date | Accounts Title | | Ref | Debit $ | Credit $ |
|---|---|---|---|---|---|
| May 1 | Cash | Dr | | 20,000 | |
| | B. Schultz, capital | Cr | | | 20,000 |
| 3 | Land expense | Dr | | 12,000 | |
| | Shed expense | Dr | | 2,000 | |
| | Equipment | Dr | | 1,000 | |
| | Cash | Cr | | | 15,000 |
| 5 | Advertising expense | Dr | | 700 | |
| | Cash | Cr | | | 700 |
| 6 | Prepaid insurance | Dr | | 600 | |
| | Cash | Cr | | | 600 |
| 10 | Equipment | Dr | | 1,050 | |
| | Accounts payable | Cr | | | 1,050 |
| 18 | Cash | Dr. | | 340 | |
| | Golf revenue | Cr | | | 340 |
| 19 | Cash | Dr. | | 1,000 | |
| | Unearned revenue | Cr. | | | 1,000 |
| 25 | B. Schultz Drawing | Dr. | | 200 | |
| | Cash | Cr. | | | 200 |
| 30 | Salaries expense | Dr | | 250 | |
| | Cash | Cr | | | 250 |
| 30 | Account payable | Dr. | | 1,050 | |
| | Cash | Cr. | | | 1,050 |
| 30 | Cash | Dr. | | 200 | |
| | Golf revenue | Cr. | | | 200 |



- Supplies

papers, envelopes, printer cartridges

| | | | |
|---|---|---|---|
| Supplies | Dr. | 5000 | |
| Cash | Cr. | | 5000 |

---

Adjusting entry

| | | | |
|---|---|---|---|
| Supplies expense | Dr. | 3000 | |
| Supplies | Cr. | | 3000 |

→ used $3000 worth of supplies

- Insurance

1 year in advance payment

Jan 1

| | | | |
|---|---|---|---|
| Prepaid Insurance | Dr. | 600 | |
| Cash | Cr. | | 600 |

---

Jan 31

| | | | |
|---|---|---|---|
| Insurance expense | Dr. | 50 | |
| Prepaid insurance | Cr. | | 50 |

→ each month the expense is incurred

- Depreciation

→ Asset value decreases over time

→ Allocation of the cost of fixed over the useful life of the asset

Furniture $10,000
Useful life 10 years

$$\text{Depreciation} = \frac{10,000}{10} = 1000$$

Contra asset

| | Depreciation | Accumulative Depreciation |
|---|---|---|
| 1st year | 1000 | 1000 |
| 2nd " | 1000 | 2000 |
| 3rd " | 1000 | 3000 |

After 3rd year, sold the furniture for $80,000

After 3rd year

Furniture:

| | | |
|---|---|---|
| | Cost | 10,000 |
| Less: | Acc. Dep. | 3000 |
| | Book value / Carrying value | 7000 |

Gain = 8,000 - 7000

= 1000

Contra Asset Normal balance Cr.

Depreciation ↳ ↳ Dr

Adjusting entry

for 1 year

| | | | |
|---|---|---|---|
| Depreciation expense | Dr. | 1000 | |
| Accumulative depreciation - furniture | Cr. | | 1000 |

- Salvage value

After the end of useful life, some value is left

Jan 1

Cash Dr. 3000
Unearned revenue Cr. 3000

↳ of which $1200 is unearned

Adjusting entry

Unearned revenue Dr. $1800
Service revenue Cr. $1800

# Adjusting entries

| Date | Accounts title | Ref. | Debit $ | Credit $ |
|---|---|---|---|---|
| 2010 Mar. 31 | Insurance expense Dr.<br>Prepaid Insurance Cr. | | 100 | 100 |
| Mar 31 | Supplies expense Dr.<br>Supplies Cr. | | 2,000 | 2,000 |
| Mar 31 | Depreciation expense Dr.<br>Accumulative depreciation Cr. – office equipment | | 200 | 200 |
| Mar 31 | Unearned revenue Dr.<br>Service revenue Cr. | | 4,600 | 4,600 |

## Any rate → Annual rate

Face value × Interest × Time in terms of one year

$5000 \times 12\% \times \frac{1}{12} = 50$

## Adjusting entry

Interest expense Dr. 50
Interest payable Cr. 50

→ for the 3 week-days at the end of the month

Salaries expense Dr. 1200
" payable Cr. 1200

Salaries payable Dr 1200
" expense Dr 2800
" Cash Cr 4000

| Date | Accounts title | Ref. | Debit $ | Credit $ |
|---|---|---|---|---|
| Aug. 31 | Salaries expense Dr. | | 800 | |
| | Salaries payable Cr. | | | 800 |
| Aug 31 | Interest expense | | 250 | |
| | " payable | | | 250 |
| Aug 31 | Account receivable Dr. | | 1,100 | |
| | Service " Cr. | | | 1,100 |

Unreconded → cash not received yet

Accounts receivable

Comprehensive Do it

P3-1A (a,c)

P3-2A (a,c)

| Date | Account title | Adj | Debit $ | Credit $ |
|---|---|---|---|---|
| | | | | |

# Comphnehensive Do gt

| Date | Account title | Adj | Debit $ | Credit $ |
|---|---|---|---|---|
| Apr 30 | Insurance expense Dr. | | 150 | |
| | Prepaid Insurance Cr. | | | 150 |
| 30 | Depreciation expense Dr. | | 500 | |
| | Accumulative depreciation Cr. -Equipment | | | 500 |
| 30 | Interest expense Dr. | | 200 | |
| | Interest payable Cr | | | 200 |
| 30 | Unearned revenue Dr. | | 700 | |
| | Service revenue Cr. | | | 700 |
| 30 | Account Receivable Dr. | | 1,500 | |
| | Service revenue Cr. | | | 1,500 |

# P3-1A (a)

| Date | Account title | | Adj | Debit $ | Credit $ |
|---|---|---|---|---|---|
| 2010 June 30 | Supplies expense | Dr. | | 1400 | |
| | Supplies | Cr. | | | 1400 |
| 30 | Utilities expense | Dr. | | 150 | |
| | Utilities payable | Cr. | | | 150 |
| 30 | Salaries expense | | | 2000 | |
| | Salaries payable | | | | 2000 |
| 30 | Insurance expense | Dr. | | 250 | |
| | Prepaid Insurance | Cr. | | | 250 |
| 30 | Unearned revenue | Dr. | | 2500 | |
| | Service revenue | Cr. | | | 2500 |
| 30 | Depreciation expense | Dr. | | 250 | |
| | Accumulative depreciation Equipment | Cr. | | | 250 |
| 30 | Account receivable | Dr. | | 1000 | |
| | Service revenue | Cr. | | | 1000 |

(c)

# Masai Company

## Adjusted trial balance

June 30, 2010

| Account title | Debit $ | Credit $ |
|---|---|---|
| Cash | 7150 | |
| Account receivable | 7000 | |
| Supplies | 600 | |
| Prepaid Insurance | 2750 | |
| Office equipment | 15,000 | |
| Accumulative Depreciation-Office equipment | | 250 |
| Accounts Payable | | 4500 |
| Unearned service rev. | | 1500 |
| Salaries payable | | 2000 |
| Utilities payable | | 150 |
| T. Masasi Capital | | 21,750 |
| Service revenue | | 11,400 |
| Supplies expense | 1400 | |
| Depreciation expense | 250 | |
| Insurance expense | 250 | |
| Salaries expense | 6000 | |
| Utilities expense | 1000 | |
| Rent expense | 150 | |
| | **$41550** | **$41550** |

# P3-2A (a)

| Date | Account title | Adj | Debit $ | Credit $ |
|---|---|---|---|---|
| Aug 31 | Insurance expense Dr. | | 1200 | |
| | Prepaid Insurance Cr. | | | 1200 |
| 31 | Supplies expense Dr. | | 2700 | |
| | Supplies Cr. | | | 2700 |
| 31 | Depreciation expense-Cottages Dr. | | 1500 | |
| | Accumulative Depreciation- Cottages Cr. | | | 1500 |
| 31 | Depreciation expense-Furniture Dr. | | 600 | |
| | Accumulative Depreciation- Furniture Cr | | | 600 |
| 31 | Unearned rent revenue Dr. | | 4100 | |
| | Rent revenue Cr. | | | 4100 |
| 31 | Salaries expense Dr. | | 400 | |
| | Salaries payable Cr. | | | 400 |
| 31 | Account receivable Dr. | | 1000 | |
| | Rent revenue Cr. | | | 1000 |
| 31 | Interest expense | | 600 | |
| | Interest payable | | | 600 |

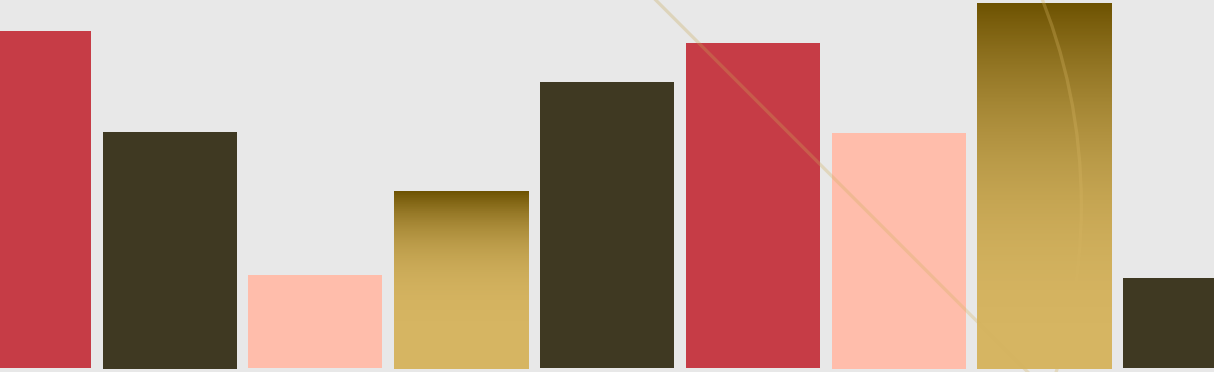
(c)

# Neosho River Resort

## Adjusted trial balance

August 31, 2010

| Account title | Debit $ | Credit $ |
|---|---|---|
| Cash | 19,000 | |
| Account Receivable | 1,000 | |
| Supplies | 600 | |
| Prepaid Insurance | 4,800 | |
| Land | 25,000 | |
| Cottages | 1,25,000 | |
| Accumulative Depreciation Cottages | | 1,500 |
| Furniture | 26,000 | |
| Accumulative Depreciation Furniture | | 600 |
| | | 6,500 |
| Account payable | | 3,300 |
| Unearned Rent Revenue | | 400 |
| Salaries payable | | 600 |
| Interest payable | | 80,000 |
| P. Hayden, Capital | | 1,00,000 |
| P. Hayden, Draving | 5,000 | |
| Rent Revenue | | 85,100 |
| Depreciation expense Cottages | 1,500 | |
| Depreciation expense Furniture | 600 | |
| Repair expense | 3,600 | |
| Supplies expense | 2,700 | |
| Interest expense | 600 | |
| Insurance expense | 1,200 | |
| Salaries expense | 51,400 | |
| Utilities expense | 9,400 | |
| | **$2,78,000** | **$2,78,000** |



| Date | Account title | | Adj | Debit $ | Credit $ |
|---|---|---|---|---|---|
| May 31 | Supplies expense | Dr. | | 900 | |
| | Supplies | Cr. | | | 900 |
| 31 | Travel expense | Dr. | | 250 | |
| | Travel payable | Cr. | | | 250 |
| 31 | Insurance expense | Dr. | | 150 | |
| | Prepaid Insurance | Cr. | | | 150 |
| 31 | Unearned revenue | Dr. | | 1600 | |
| | Service revenue | Cr. | | | 1600 |
| 31 | Salaries expense | Dr. | | 960 | |
| | Salaries payable | Cr. | | | 960 |
| 31 | Depreciation expense | Dr. | | 170 | |
| | Accumulative depreciation-Furniture | Cr. | | | 170 |
| 31 | Account receivable | Dr. | | 1200 | |
| | Service revenue | Cr. | | | 1200 |

Supplies → 1900

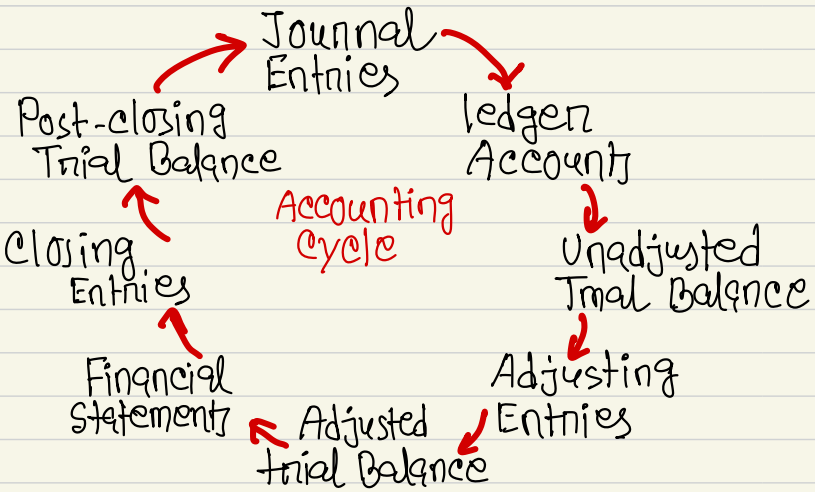
Insurance → 3600

Furniture → 10,200

| Account title | Debit $ | Credit $ |
|---|---|---|
| Cash | 5700 | |
| Account receivable | 7000 | |
| Supplies | 1000 | |
| Prepaid Insurance | 3450 | |
| Office furniture | 10,200 | |
| Accumulative Depreciation-Furniture | | 170 |
| Accounts Payable | | 4500 |
| Unearned service rev. | | 400 |
| Salaries payable | | 960 |
| Travels payable | | 250 |
| K. Ham Capital | | 17,700 |
| Service revenue | | 10,300 |
| Supplies expense | 960 | |
| Travels expense | 250 | |
| Insurance expense | 150 | |
| Salaries expense | 4360 | |
| Depreciation expense | 170 | |
| | $ 34,280 | $ 34,280 |

H.W P3-2B

# Chapter 4




Temporary → Revenue, expenses, drawing
Don't tranfer the next year

Permanent → Assets, Liability, equity

Income Summary → Cr.

| | | |
|---|---|---|
| Service revenue | 10,000 | 4 closing entries |
| Salaries expense | 2,000 | |
| Rent " | 1,000 | |
| Drawing " | 500 | |

## Closing Entries

| | | | |
|---|---|---|---|
| Service revenue | Dr. | 10,000 | |
| Income summary | Cr. | | 10,000 |
| Income Summary | Dr. | 3000 | |
| Salaries expense | Cr. | | 2000 |
| Rent expense | Cr. | | 1000 |
| Income summary | Dr. | 7000 | |
| K.Ham Capital | Cr. | | 7000 |
| K.Ham Capital | Dr. | 500 | |
| K.Ham Drawings | Dr. | | 500 |

To close Net Income

Income Summary → Cr 10,000
Dr. 3000
Cr. 7000

Net Income

## Closing entries

1. Revenue → Income summary
2. Expense → "
3. Income summary → Owners capital
4. Drawings → "

→ After every closing entry we need to close accounts title

when Net Income / Net loss is given
2 entries

# P3-2B (9)

| Date | Account title | | Adj | Debit $ | Credit $ |
|---|---|---|---|---|---|
| May 31 | Insurance expense | Dr. | | 190 | |
| | Prepaid Insurance | Cr. | | | 190 |
| 31 | Supplies expense | Dr. | | 1450 | |
| | Supplies | Cr. | | | 1450 |
| 31 | Depreciation expense | Dr. | | 250 | |
| | Accumulative depreciation Lodge | Cr. | | | 250 |
| 31 | Interest expense | Dr. | | 350 | |
| | Interest payable | Cr. | | | 350 |
| 31 | Unearned rent | Dr. | | 2200 | |
| | Rent revenue | Cr. | | | 2200 |
| 31 | Salaries expense | Dr. | | 750 | |
| | Salaries payable | Cr. | | | 750 |

(c)

Mound View Hotel
Adjusted Trial Balance
May 31, 2010

| Account title | Debit $ | Credit $ |
|---|---|---|
| Cash | 3500 | |
| Supplies | 750 | |
| Prepaid Insurance | 2090 | |
| Land | 12,000 | |
| Lodge | 60,000 | |
| Accumulated Depreciation Lodge | | 250 |
| Furniture | 15,000 | |
| Accumulated Depreciation-Furniture | | 225 |
| Account Payable | | 4800 |
| Unearned rent revenue | | 1100 |
| Salaries payable | | 750 |
| Interest payable | | 350 |
| Montage payable | | 35,000 |
| K. Henry Capital | | 46,380 |
| Rent Revenue | | 12,500 |
| Advertising expense | 600 | |
| Depreciation expense-lodge | 250 | |
| Depreciation expense-Furniture | 225 | |
| Supplies expense | 1450 | |
| Interest expense | 350 | |
| Insurance expense | 190 | |
| Salaries expense | 4050 | |
| Utilities expense | 900 | |
| | $101,355 | $101,355 |

(d)

# Mound View Hotel
## Income Statement
### For the month ended in May 31, 2010

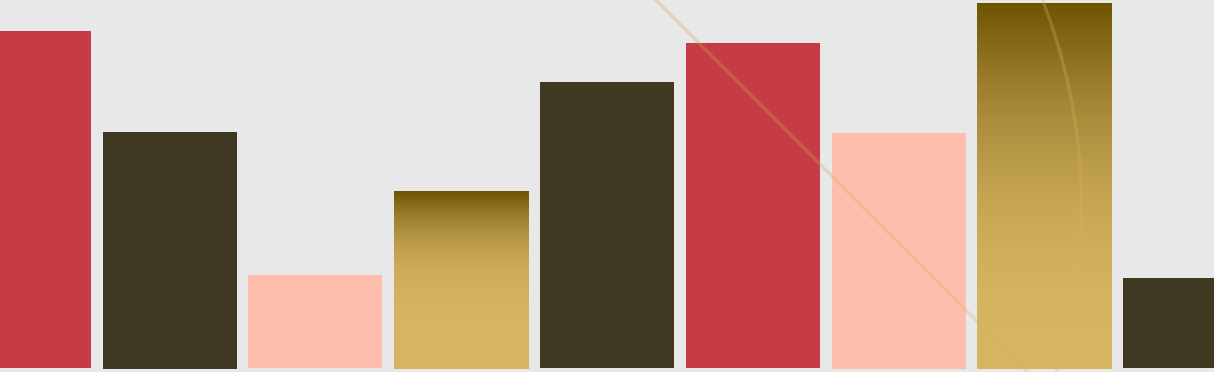
| Particulars | Amount $ | Amount $ |
|---|---|---|
| **Revenues** | | |
| Rent Revenue | | 12,500 |
| **Expenses** | | |
| Advertising expense | 600 | |
| Depreciation expense-lodge | 250 | |
| Depreciation expense-Furniture | 225 | |
| Supplies expense | 1450 | |
| Insurance expense | 190 | |
| Salaries expense | 4050 | |
| Utilities expense | 900 | |
| Interest expense | 350 | |
| Total expenses | | 8015 |
| **NET INCOME** | | 4,485 |

# Mound View Hotel
## Owners Equity
## For the month ended in May 31, 2010

| Particulars | Amount $ | Amount $ |
|---|---|---|
| K. Henny Capital, May 1 | | 0 |
| Add | | |
| Investments | 46,380 | |
| Net Income | 4485 | |
| | | $50,865 |
| K. Henny Capital, May 31 | | |

Mound View Hotel
Balance Sheet
May 31, 2010

| Accounts | Amount $ | Amount $ |
|---|---|---|
| Assets | | |
| Cash | 3500 | |
| Supplies | 750 | |
| Prepaid Insurance | 2090 | |
| Land | 12,000 | |
| Lodge | 60,000 | |
| Less Accumulated Depreciation-Lodge | 250 | |
| Furniture | 15,000 | |
| Less Accumulated Depreciation-Furniture | 225 | |
| Total assets | | $92,865 |
| Liabilities and Owners Equity | | |
| Liabilities | | |
| Accounts payable | 4800 | |
| Mortage payable | 35,000 | |
| Unearned rent | 1,100 | |
| Salaries payable | 750 | |
| Interest payable | 350 | |
| Total Liabilities | | 42,000 |
| Owners Equity | | |
| K. Henry, Capital | | 50,865 |
| Total liabilities and Owners Equity | | $92,865 |



| Temporary<br>Closed | Permanent<br>Not Closed |
| --- | --- |
| All revenue accounts | All asset accounts |
| All expense accounts | All liability accounts |
| Owner's drawing Account | Owner's capital account |

# Closing entries

| Date | Account title | | Adj | Debit $ | Credit $ |
|---|---|---|---|---|---|
| 2010 June 30 | Service revenue | Dr. | | 4064 | |
| | Income summary | Cr. | | | 4064 |
| 30 | Income summary | Dr. | | 3828 | |
| | Salaries expense | Cr. | | | 1344 |
| | Miscellaneous expense | Cr. | | | 256 |
| | Supplies expense | Cr. | | | 2228 |
| 30 | Income summary | Dr. | | 236 | |
| | E. Skoda capital | Cr. | | | 236 |
| 30 | E. Skoda capital | Dr. | | 300 | |
| | E. Skoda Drawings | Cr. | | | 300 |

H.W

E4-8 (a)

DO IT → 4-2 (only closing)

# DO IT 4-2

| Date | Account title | Ref. | Debit $ | Credit $ |
|---|---|---|---|---|
| Dec 31 | Income summary Dr. | | 29,000 | |
| | J.Q. Adams Capital Cr. | | | 29,000 |
| 31 | J.Q. Adams Capital Dr. | | 22,000 | |
| | J.Q. Adams Drawing Cr. | | | 22,000 |

# E4-8

| Date | Account title | Adj | Debit $ | Credit $ |
|---|---|---|---|---|
| 2010 | Commision revenue Dr. | | 65,000 | |
| July 31 | Rent revenue Dr. | | 6,500 | |
| | Income summary Cr. | | | 71,500 |
| 31 | Income summary Dr. | | 74,600 | |
| | Salries expense Cr. | | | 55,700 |
| | Utilities expense Cr. | | | 14,900 |
| | Depreciation expense Cr. | | | 4000 |
| 31 | B.J. Apachi Capital Dr. | | 16,000 | |
| | B.J. Apachi Drawing Cr. | | | 16,000 |
| 31 | B.J. Apachi Capital Dr. | | 3,100 | |
| — | Income summary Cr. | | | 3,100 |

## Worksheet

- Not a permanent accounting record

# Chapter 18

- 3 characteristics to analyze financial statement
  1) Liquidity (cash - most liquid)
  2) Profitability
  3) Solvency (surviving over the long term)

**More liquidity**
**Easier to pay off debt**

**safety** → Determined by liquidity

Bond: long term liability
↳ → Interest payments

Bond holder
Stockholders → Profitability, Solvency

↳ Dividends

i) Intracompany basis

**Current balance vs last year balance**

ii) Industry averages

Compane ratio **vs** Industry avenage

iii) Intercompany basis

My company **vs** Other companies

Same industry

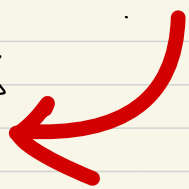
Tools of analysis

i) Horizontal → current **vs** previous

ii) Vertical ⟶ Companes with base amount

Balance sheet → Total assets

Income Statement → Net Sales



iii) Ratio

## Ratios

i) Liquidity (unexpected/emergency need)

ii) Profitability (income/operating succes)

iii) Solvency (surviving long period)

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{current liabilities}}$$

$$\text{Acid-test Ratio} = \frac{\text{Cash + short term investment + receivables}}{\text{Liability}}$$

$$\text{Received Turnover} = \frac{\text{Net Credit Sales}}{\text{Average Net Receivable}}$$

Should be calculated for current + previous year

calculated in times

$$\text{Inventory Turnover} = \frac{\text{Cost of goods sold}}{\text{Average inventory}}$$

| Beginning | Purchased | |
|---|---|---|
| 1000 | 500 | 1500 → cost of goods available for sale |

| Ending | |
|---|---|
| 900 | 600 → cost of goods sold |

If no data of credit sales,

net sales = net credit sales

$$\text{Return on Assets} = \frac{\text{Net Income}}{\text{Average assets}}$$

9, 10, 13 → not included ✗

E18-11

i) $$\text{Current ratio} = \frac{\text{Current assets}}{\text{current liabilities}}$$

$$= \frac{4300 + 21200 + 10,000}{12370}$$

$$= 2.87 : 1$$

ii) $$\text{Acid-Test Ratio} = \frac{4300 + 0 + 21200}{12370}$$

$$= 2.06 : 1$$

iii) Received Turnover $= \dfrac{1,00,000}{\dfrac{21200+23100}{2}}$

$= 4.48$ turns

H.W [d-i]

E18-10

E18-2

E18-1

| | | | Increase or decrease | |
|---|---|---|---|---|
| | 2010 | 2011 | Amount | Percent |
| Assets | | | | |

E18-1

# Blevins Inc
## Condensed Balance sheets
## December 31

| | | | Increase or decrease | |
|---|---|---|---|---|
| | 2010 | 2011 | Amount | Percent |
| Assets | | | | |
| Current assets | 1,25,000 | 1,00,000 | 25,000 | 25% |
| Plant assets | 3,96,000 | 3,30,000 | 66,000 | 20.2% |
| Total assets | 5,21,000 | 4,93,000 | 91,000 | 21.2% |
| Liabilities | | | | |
| Current liabilities | 91,000 | 70,000 | 21,000 | 30% |
| long term liabilities | 1,33,000 | 95,000 | 38,000 | 40% |
| Total liabilities | 2,24,000 | 1,65,000 | 59,000 | 35.8% |
| Stockholders equity | | | | |
| Common Stock,1$ par | 1,66,000 | 1,15,000 | 46,000 | 40.0% |
| Retained earnings | 1,36,000 | 150,000 | 14,000 | 9.3% |
| Total Stockholders equity | 297,000 | 2,65,000 | 32,000 | 12.1% |
| Total liabilities and Stockholders equity | 5,21,000 | 4,30,000 | 91,000 | 21.2% |

E18-2

# Gallup Corporation

Condensed Income statement
For the year ended in December 31

| | 2011 | | 2010 | |
|---|---|---|---|---|
| | Amount | Percent | Amount | Percent |
| Sales | 7,150,000 | 100% | 6,00,000 | 100% |
| Cost of goods sold | 4,65,300 | 62% | 3,90,000 | 65% |
| Gross profit | 2,85,000 | 38% | 2,10,000 | 35% |
| Selling expenses | 120,000 | 16% | 72,000 | 12% |
| Administrative expenses | 60,000 | 8% | 54,000 | 9% |
| Total operating expenses | 1,80,000 | 24% | 1,26,000 | 21% |
| Income before Income Taxes | 1,05,000 | 14% | 84,000 | 14% |
| Income Tax Expense | 33,000 | 4.4% | 24,000 | 4% |
| Net Income | 72,000 | 9.6% | 60,000 | 10% |

# E18-10

a) Inventory Turnover = 3.5 = $\frac{\text{cost of goods sold}}{\left[\frac{2,00,000 + 1,80,000}{2}\right]}$

$\Rightarrow$ Cost of Goods Sold = $6,65,000

b) Receivable turnover = 8.8 = $\frac{\text{Net sales (Credit)}}{\left[\frac{72,000 + 1,26,000}{2}\right]}$

$\Rightarrow$ Net Sales Credit = $8,73,400

c) Return on common stockholder's Equity = 24% =

$$\frac{\text{Net Income}}{\left[\frac{400,000 + 1,13,000 + 400,000 + 101,000}{2}\right]}$$

$\Rightarrow$ Net Income = $1,21,740

d) Return on assets = 20% = $\frac{1,21,740}{\text{Average Assets}}$

$\Rightarrow$ Average Assets = 6,08,700

$$\frac{\text{Total Assets} + 6{,}05{,}000}{2} = 6{,}08{,}700$$

$\Rightarrow$ Total assets = \$6,12,400

## E18-11

d) Inventory turnover = $\dfrac{60{,}000}{\left[\dfrac{10{,}000 + 7000}{2}\right]}$

= 7.06 times

e) Profit margin = $\dfrac{15{,}000}{100{,}000}$ = 15%

f) Asset turnover = $\dfrac{100{,}000}{\left[\dfrac{1{,}10{,}500 + 1{,}20{,}100}{2}\right]}$

= 0.87

g) Return on assets = $\dfrac{15{,}000}{\left[\dfrac{1{,}10{,}500 + 1{,}20{,}100}{2}\right]}$

= 13%

h) Return on common Stockholder's Equity =

$$\frac{15,000}{\left[\frac{98,130 + 89,000}{2}\right]} = 16\%$$

i) Debt to total assets ratio = $\frac{12,370}{1,10,500}$

$= 11.2\%$

## Return on Common Stockholder's Equity

shares stock $=$ $\frac{\text{Net Income}}{\text{Average common Stockholder's equity}}$

Retained earnings = (Net-Income)-Dividends

Owner's equity → Common Stock

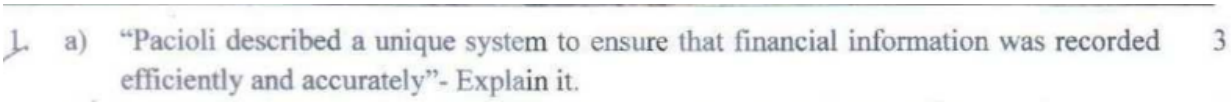
Retained earnings

$$\frac{15,000}{\frac{98,130+89000}{2}} = 16\%$$

$(75,000+23,130)$ $(69,000+20,000)$

# Mid 2019 CSE

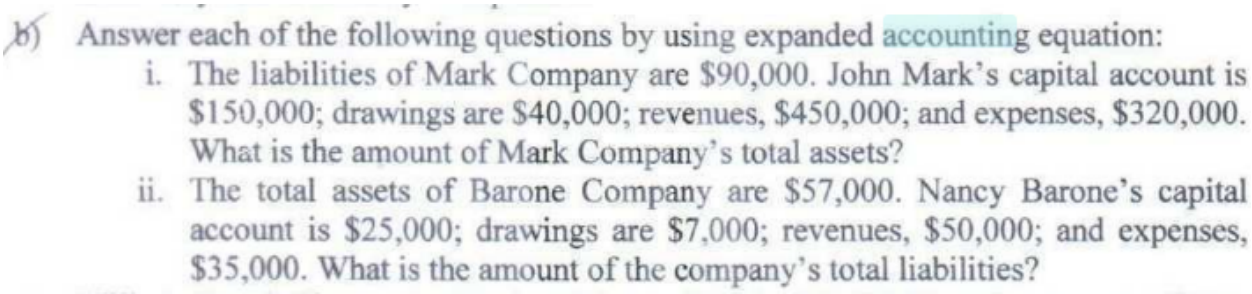
Tags



1. a) "Pacioli described a unique system to ensure that financial information was recorded efficiently and accurately"- Explain it. 3

Pacioli, who is considered the father of modern accounting, described a unique system of double-entry bookkeeping in his 1494 book

The system is based on the principle that every business transaction has two equal and opposite effects, and that these effects are recorded in two different accounts. The double-entry bookkeeping system ensures that all transactions are recorded accurately and completely, and that the financial statements are reliable



b) Answer each of the following questions by using expanded accounting equation:

i. The liabilities of Mark Company are $90,000. John Mark's capital account is $150,000; drawings are $40,000; revenues, $450,000; and expenses, $320,000. What is the amount of Mark Company's total assets?

ii. The total assets of Barone Company are $57,000. Nancy Barone's capital account is $25,000; drawings are $7,000; revenues, $50,000; and expenses, $35,000. What is the amount of the company's total liabilities?

i)

Total assets is computed using the equation given below:

Total assets = Total liabilities + Owner's capital + Revenue - Expenses - Drawings

= $90,000 + $150,000 + $450,000 - $320,000 - $40,000

= $330,000

ii)

Total liabilities are computed using the equation given below:

Total liabilities = Total assets + Expenses + Drawings - Owner's capital - Revenue

= $57,000 + $35,000 + $7,000 - $25,000 - $52,000

= $22,000

c) Miller's Repair Shop was started on May 1, 2018 by Mark Miller. A summary of May transactions is presented below. 1

- Invested $10,000 cash to start the repair shop.
- Purchased equipment for $5,000 cash.
- Paid $400 cash for May office rent.
- Paid $500 cash for supplies.
- Incurred $250 of advertising costs in the Beacon News on account.
- Received $5,100 in cash from customers for repair service.
- Withdrew $1,000 cash for personal use.
- Paid part-time employee salaries $2,000.
- Paid utility bills $140.
- Provided repair service on account to customers $750.
- Collected cash of $120 for services billed in transaction (x).

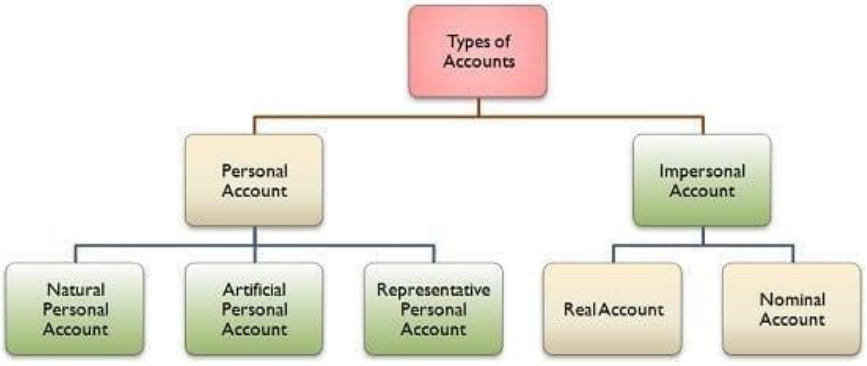
**Required:**

Prepare a tabular analysis of the transactions, using the following column headings: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, M.Miller,Capital; M.Miller,Drawings; Revenues, and Expenses.

(a) **BARONE REPAIR SHOP**

| | Cash | + Accounts Receivable | + Supplies | + Equipment | = Accounts Payable | + N. Barone, Capital | – N. Barone, Drawings | + Revenues | – Expenses |
|---|---|---|---|---|---|---|---|---|---|
| | | | | | | Owner's Equity | | | |
| 1. | +$10,000 | | | | | +$10,000 | | | |
| | 10,000 | | | | = | 10,000 | | | |
| 2. | –5,000 | | | +$5,000 | | | | | |
| | 5,000 | | | + 5,000 | = | + 10,000 | | | |
| 3. | –400 | | | | | | | | –$400 |
| | 4,600 | | | + 5,000 | = | + 10,000 | | | –400 |
| 4. | –500 | | +$500 | | | | | | |
| | 4,100 | | + 500 | + 5,000 | = | + 10,000 | | | –400 |
| 5. | | | | | +$250 | | | | –250 |
| | 4,100 | | + 500 | + 5,000 | = 250 | + 10,000 | | | –650 |
| 6. | +5,100 | | | | | | | +$5,100 | |
| | 9,200 | | + 500 | + 5,000 | = 250 | + 10,000 | | 5,100 | –650 |
| 7. | –1,000 | | | | | | –$1,000 | | |
| | 8,200 | | + 500 | + 5,000 | = 250 | + 10,000 | –1,000 | 5,100 | –650 |
| 8. | –2,000 | | | | | | | | –2,000 |
| | 6,200 | | + 500 | + 5,000 | = 250 | + 10,000 | –1,000 | 5,100 | –2,650 |
| 9. | –140 | | | | | | | | –140 |
| | 6,060 | | + 500 | + 5,000 | = 250 | + 10,000 | –1,000 | 5,100 | –2,790 |
| 10. | | +$750 | | | | | | +750 | |
| | 6,060 | + 750 | + 500 | + 5,000 | = 250 | + 10,000 | –1,000 | 5,850 | –2,790 |
| 11. | +120 | –120 | | | | | | | |
| | $ 6,180 | + $630 | + $500 | + $5,000 | = $250 | + $10,000 | – $1,000 | + $5,850 | – $2,790 |
| | | $12,310 | | | | | $12,310 | | |

2. a) Draw the chart of Golden Rules of Accounting. 6



b) Mary Jansen is a licensed CPA. During the first month of operations of her business, the following events and transactions occurred. 19

**May 1:** Mary invested $25,000 cash in her business.
**May 2:** Hired a secretary-receptionist at a salary of $2,000 per month.
**May 3:** Purchased $2,500 of supplies on account from Barry Supply Company.
**May 7:** Paid office rent of $900 cash for the month.
**May11:** Completed a tax assignment and billed client $2,100 for services provided.
**May 12:** Received $3,500 advance on a management consulting engagement.
**May 17:** Received cash of $1,200 for services completed for Max Company.



204

**May 31:** Paid secretary-receptionist $2,000 salary for the month.
**May 31:** Paid 40% of balance due Barry Supply Company.

Mary uses the following chart of accounts: No. 101 Cash, No. 112 Accounts Receivable, No. 126 Supplies, No. 201 Accounts Payable, No. 205 Unearned Revenue, No. 301 Mary Jansen, Capital; No. 400 Service Revenue, No. 726 Salaries Expense, and No. 729 Rent Expense.

**Required:**

i. Journalize the transactions.
ii. Post to the ledger accounts.
iii. Prepare a trial balance on May 31, 2018.

Similar solved before

3. a) A Mobile Phone shop makes a sale of mobile phones for $1,000 on June 30. The customer is sent a statement on July 5 and a cheque is received on July 10. The Mobile Phone shop follows Revenue Recognition Principle. When is the $1,000 considered to be earned? Explain the reason. 5

Revenue recognition principle →june 30

b) Which items are included in Deferrals and Accruals? 2

Accruals and deferrals are accounting concepts used to adjust financial statements to reflect the economic reality of transactions that have not yet been recorded or realized

1. Accruals: Accruals are adjustments made to recognize revenue or expenses that have been earned or incurred, but not yet recorded in the financial statements. Examples of accruals include:
    - Accrued revenue: revenue that has been earned but not yet invoiced or received
    - Accrued expenses: expenses that have been incurred but not yet paid or recorded, such as salaries or interest.
2. Deferrals: Deferrals are adjustments made to recognize revenue or expenses that have been received or paid in advance, but not yet earned or incurred. Examples of deferrals include:
    - Prepaid expenses: expenses paid in advance, such as rent or insurance, that have not yet been used or consumed
    - Unearned revenue: revenue received in advance, such as deposits or retainers, that have not yet been earned.

c) Sara Woods started his own consulting firm, Woods Consulting, on May 1, 2017. The trial balance at May 31 is as follows. 18

**WOODS CONSULTING**
**Trial Balance**
May 31, 2017

| Accounts Title | Debit | Credit |
|---|---|---|
| Cash | $ 5,700 | |
| Accounts Receivable | 6,000 | |
| Supplies | 1,900 | |
| Prepaid Insurance | 3,600 | |
| Office Furniture | 10,200 | |
| Accounts Payable | | $ 4,500 |
| Unearned Service Revenue | | 2,000 |
| S.Woods, Capital | | 17,700 |
| Service Revenue | | 7,500 |
| Salaries Expense | 3,400 | |
| Rent Expense | 900 | |
| | **$31,700** | **$31,700** |

In addition to those accounts listed on the trial balance, the chart of accounts for Woods Consulting also contains the following accounts and account numbers: No. 150 Accumulated Depreciation—Office Furniture, No. 212 Salaries Payable, No. 229 Travel Payable, No. 631 Supplies Expense, No. 717 Depreciation Expense, No. 722 Insurance Expense, and No. 736 Travel Expense.

**Other data:**

- $900 of supplies have been used during the month.
- Travel expense incurred but not paid on May 31, 2017, $250.
- The insurance policy is for 2 years.
- $400 of the balance in the unearned service revenue account remains unearned at the end of the month.
- May 31 is a Wednesday, and employees are paid on Fridays. Woods Consulting has two employees, who are paid $800 each for a 5-day work week.
- The office furniture has a 5-year life with no salvage value. It is being depreciated at $170 per month for 60 months.
- Invoices representing $1,200 of services performed during the month have not been recorded as of May 31.

**Required:**

i. Prepare the adjusting entries for the month of May, 2017.
ii. Prepare an adjusted trial balance at May 31, 2017.

i)

(a)

J4

| Date | | Account Titles | Ref. | Debit | Credit |
|---|---|---|---|---|---|
| 2010 | | | | | |
| May | 31 | Supplies Expense | 631 | 900 | |
| | | Supplies | 126 | | 900 |
| | 31 | Travel Expense | 736 | 250 | |
| | | Travel Payable | 229 | | 250 |
| | 31 | Insurance Expense | 722 | 150 | |
| | | Prepaid Insurance | 130 | | 150 |
| | | ($3,600 ÷ 24 months) | | | |
| | 31 | Unearned Service Revenue | 209 | 1,600 | |
| | | Service Revenue | 400 | | 1,600 |
| | | ($2,000 – $400) | | | |
| | 31 | Salaries Expense | 726 | 960 | |
| | | Salaries Payable | 212 | | 960 |
| | | [(3/5 X $800) X 2 employees] | | | |
| | 31 | Depreciation Expense | 717 | 170 | |
| | | Accumulated Depreciation— | | | |
| | | Office Furniture | 150 | | 170 |
| | | ($10,200 ÷ 60 months) | | | |
| | 31 | Accounts Receivable | 112 | 1,200 | |
| | | Service Revenue | 400 | | 1,200 |

ii)

**HAMBONE CONSULTING**
**Adjusted Trial Balance**
**May 31, 2010**

| | Debit | Credit |
|---|---|---|
| Cash | $ 5,700 | |
| Accounts Receivable | 7,200 | |
| Prepaid Insurance | 3,450 | |
| Supplies | 1,000 | |
| Office Furniture | 10,200 | |
| Accumulated Depreciation—Office Furniture | | $ 170 |
| Accounts Payable | | 4,500 |
| Travel Payable | | 250 |
| Salaries Payable | | 960 |
| Unearned Service Revenue | | 400 |
| K. Ham, Capital | | 17,700 |
| Service Revenue | | 10,300 |
| Salaries Expense | 4,360 | |
| Rent Expense | 900 | |
| Depreciation Expense | 170 | |
| Insurance Expense | 150 | |
| Travel Expense | 250 | |
| Supplies Expense | 900 | |
| | $34,280 | $34,280 |

4. a) Your friend Natasha is confused about the accounts that are closed and the accounts that are not closed. Which chart will you show him? 5

Natasha ‘he’ why?

b) The trial balance columns of the worksheet for Goode Company at March 31, 2018, are as follows. 20

**GOODE COMPANY**
**Worksheet**
For the Month Ended March 31, 2018

| Account Titles | Trial Balance | |
|---|---|---|
| | Dr. | Cr. |
| Cash | $ 4,500 | |
| Accounts Receivable | 3,200 | |
| Supplies | 2,000 | |
| Equipment | 11,000 | |
| Accumulated Depreciation-Equipment | | $ 1,250 |
| Accounts Payable | | 2,500 |
| Unearned Revenue | | 550 |
| T.Goode, Capital | | 12,900 |
| T.Goode, Drawing | 1,100 | |
| Service Revenue | | 6,300 |
| Salaries Expense | 1,300 | |
| Miscellaneous Expense | 400 | |
| | **$ 23,500** | **$ 23,500** |

**Other data:**

- A physical count reveals only $650 of supplies on hand.
- Depreciation for March is $250.
- Unearned revenue amounted to $170 at March 31.
- Accrued salaries are $600.

**Required:**

i. Enter the trial balance on a worksheet and complete the worksheet.
ii. Journalize the closing entries from the financial statement columns of the worksheet.

**GOODE COMPANY**
**(Partial) Worksheet**
**For the Month Ended April 30, 2010**

| | Adjusted Trial Balance | | Income Statement | | Balance Sheet | |
|---|---|---|---|---|---|---|
| Account Titles | Dr. | Cr. | Dr. | Cr. | Dr. | Cr. |
| Cash | 13,752 | | | | 13,752 | |
| Accounts Receivable | 7,840 | | | | 7,840 | |
| Prepaid Rent | 2,280 | | | | 2,280 | |
| Equipment | 23,050 | | | | 23,050 | |
| Accum. Depreciation | | 4,921 | | | | 4,921 |
| Notes Payable | | 5,700 | | | | 5,700 |
| Accounts Payable | | 5,672 | | | | 5,672 |
| T. Goode, Capital | | 30,960 | | | | 30,960 |
| T. Goode, Drawing | 3,650 | | | | 3,650 | |
| Service Revenue | | 15,590 | | 15,590 | | |
| Salaries Expense | 10,840 | | 10,840 | | | |
| Rent Expense | 760 | | 760 | | | |
| Depreciation Expense | 671 | | 671 | | | |
| Interest Expense | 57 | | 57 | | | |
| Interest Payable | | 57 | | | | 57 |
| Totals | 62,900 | 62,900 | 12,328 | 15,590 | 50,572 | 47,310 |
| Net Income | | | 3,262 | | | 3,262 |
| Totals | | | 15,590 | 15,590 | 50,572 | 50,572 |

| | | | | |
|---|---|---|---|---|
| (a) | Apr. 30 | Service Revenue | 15,590 | |
| | | Income Summary | | 15,590 |
| | 30 | Income Summary | 12,328 | |
| | | Salaries Expense | | 10,840 |
| | | Rent Expense | | 760 |
| | | Depreciation Expense | | 671 |
| | | Interest Expense | | 57 |
| | 30 | Income Summary | 3,262 | |
| | | T. Goode, Capital | | 3,262 |
| | 30 | T. Goode, Capital | 3,650 | |
| | | T. Goode, Drawing | | 3,650 |

Treat de

# Mid 2020 CSE

Tags

1. a) Farlin company hired an employee for salary $800. Will it be a transaction? Briefly explain the reason. 5

Hiring a new employee is **not a business transaction** because it does not effect the books in any manner whatsoever.

In accounting, a transaction is an economic event that involves a change in a company's financial position. Transactions can take many forms, including the sale of goods or services, the purchase of assets or inventory, the payment of expenses, the receipt of funds from investors or customers, or the repayment of loans.

b) An inexperienced bookkeeper prepared the following trial balance. Prepare a **correct trial balance**, assuming all account balances are normal. 8

KWUN COMPANY
Trial Balance
December 31, 2018

| Accounts Title | Debit | Credit |
|---|---|---|
| Cash | $14,800 | |
| Prepaid Insurance | | $3,500 |
| Accounts Payable | | 3,000 |
| Unearned Revenue | 2,200 | |
| P. Kwun, Capital | | 13,000 |
| P. Kwun, Drawing | | 4,500 |
| Service Revenue | | 25,600 |
| Salaries Expense | 18,600 | |
| Rent Expense | | 2,400 |
| | **$35,600** | **$52,000** |

**KWUN COMPANY**

**Trial Balance**

**For the month ended on December 31, 2017**

| Accounts Title | Debit | Credit |
|---|---|---|

| Accounts Title | Debit | Credit |
|---|---|---|
| Cash | 14800 | |
| Prepaid insurance | 3500 | |
| Accounts payable | | 3000 |
| Unearned service revenue | | 2200 |
| P. Kwun, Capital | | 13000 |
| P. Kwun, Drawing | 4500 | |
| Service revenue | | 25600 |
| Salaries expense | 18600 | |
| Rent expense | 2400 | |
| Total | 438000 | 438000 |

c) The following information is related to the sole proprietorship of Leonard Mac, attorney. 12

| | |
|---|---|
| Legal service revenue, 2018 | $350,000 |
| Total expenses, 2018 | 211,000 |
| Assets, January 1, 2018 | 85,000 |
| Liabilities, January 1, 2018 | 62,000 |
| Assets, December 31, 2018 | 168,000 |
| Liabilities, December 31, 2018 | 85,000 |
| Drawings—2018 | ? |

**Required:**

Prepare the 2018 **Statement of Owner's Equity** for Leonard Mac's legal practice by calculating "Leonard Mac, Drawings" in 2018.

Here,

Legal service revenue - 2018 = 3,50,000

Less: Total expenses - 2018 = 2,11,000

∴ Net income for the year 2018 = 1,39,000

Assets, January 1, 2018 = 85,000

Less: Liabilities January 1, 2018 = 62,000

∴ Opening Owner's Equity 2018 = 23,000

Assets, December 31, 2018 = 1,68,000

Less: Liabilities December 31, 2018 = 62,000

∴ Closing Owner's Equity 2018 = 83,000

We know,

Drawings for the year = Net income for the year + Opening Owner's equity - Closing Owner's equity

Drawings = 139000+23000-83000 = 79000

**Drawings for the year 2010 $79,000**

2. a) Arman Ahmed, a beginning accounting student, believes that double-entry system means each transaction must be recorded twice. Is Arman correct? Explain. 5

Double entry system doesn't mean that each transaction will be recorded twice. It means that each entry will affect two sides of the column. So Arman is wrong

Double entry system is a method of bookkeeping in accounting that requires every financial transaction to be recorded in at least two different accounts. This system is based on the concept that every transaction has two aspects, a debit and a credit.

The double entry system ensures accuracy in accounting records, as it helps to identify errors and prevent fraud. It also allows businesses to prepare financial statements such as the balance sheet, income statement, and cash flow statement, which provide a comprehensive picture of their financial position and performance

b) Moinul Hasan is a licensed dentist. During the first month of the operation of her business, the following events and transactions occurred. 20

**April 1:** Invested $40,000 cash.
**April 1:** Hired a secretary-receptionist at a salary of $600 per week payable monthly.
**April 2:** Paid office rent for the month $1,000.
**April 3:** Purchased dental supplies on account from Smile Company $4,000.
**April 10:** Provided dental services and billed insurance companies $5,100.
**April 11:** Received $1,000 cash advance from Trudy Borke for an implant.
**April 20:** Received $2,100 cash for services completed and delivered to John Stanley.
**April 30:** Paid secretary-receptionist for the month $2,400.
**April 30:** Paid $1,600 to Smile Company for accounts payable due.

Moinul uses the following chart of accounts: No. 101 Cash, No. 112 Accounts Receivable, No. 126 Supplies, No. 201 Accounts Payable, No. 205 Unearned Revenue, No. 301 M.Hasan, Capital; No. 400 Service Revenue, No. 726 Salaries Expense, and No. 729 Rent Expense.

**Required:**

**i)** Journalize the transactions.
**ii)** Post to the ledger accounts.
**iii)** Prepare a trial balance on April 30, 2018.

i) Journal

[Maria Juarez = Moinul Hasan]

J1

| Date | Account Titles and Explanation | Ref. | Debit | Credit |
|---|---|---|---|---|
| Apr. 1 | Cash | 101 | 40,000 | |
| | Maria Juarez, Capital | 301 | | 40,000 |
| | (Owner's investment of cash in business) | | | |
| 1 | No entry—not a transaction. | | | |
| 2 | Rent Expense | 729 | 1,000 | |
| | Cash | 101 | | 1,000 |
| | (Paid monthly office rent) | | | |
| 3 | Supplies | 126 | 4,000 | |
| | Accounts Payable | 201 | | 4,000 |
| | (Purchased supplies on account from Smile Company) | | | |
| 10 | Accounts Receivable | 112 | 5,100 | |
| | Service Revenue | 400 | | 5,100 |
| | (Billed clients for services provided) | | | |
| 11 | Cash | 101 | 1,000 | |
| | Unearned Revenue | 205 | | 1,000 |
| | (Received cash for future service) | | | |
| 20 | Cash | 101 | 2,100 | |
| | Service Revenue | 400 | | 2,100 |
| | (Received cash for services provided) | | | |
| 30 | Salaries Expense | 726 | 2,400 | |
| | Cash | 101 | | 2,400 |
| | (Paid monthly salary) | | | |

| | | | | |
|---|---|---|---|---|
| Apr. 30 | Accounts Payable | 201 | 1,600 | |
| | Cash | 101 | | 1,600 |
| | (Paid Smile Company on account) | | | |

ii) General Ledger

**Cash** No. 101

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| Apr. 1 | | J1 | 40,000 | | 40,000 |
| 2 | | J1 | | 1,000 | 39,000 |
| 11 | | J1 | 1,000 | | 40,000 |
| 20 | | J1 | 2,100 | | 42,100 |
| 30 | | J1 | | 2,400 | 39,700 |
| 30 | | J1 | | 1,600 | 38,100 |

**Accounts Receivable** No. 112

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| Apr. 10 | | J1 | 5,100 | | 5,100 |

**Supplies** No. 126

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| Apr. 3 | | J1 | 4,000 | | 4,000 |

**Accounts Payable** No. 201

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| Apr. 3 | | J1 | | 4,000 | 4,000 |
| 30 | | J1 | 1,600 | | 2,400 |

**Unearned Revenue** No. 205

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| Apr. 11 | | J1 | | 1,000 | 1,000 |

| Maria Juarez, Capital | | | | | No. 301 |
|---|---|---|---|---|---|
| Date | Explanation | Ref. | Debit | Credit | Balance |
| Apr. 1 | | J1 | | 40,000 | 40,000 |

| Service Revenue | | | | | No. 400 |
|---|---|---|---|---|---|
| Date | Explanation | Ref. | Debit | Credit | Balance |
| Apr. 10 | | J1 | | 5,100 | 5,100 |
| 20 | | J1 | | 2,100 | 7,200 |

| Salaries Expense | | | | | No. 726 |
|---|---|---|---|---|---|
| Date | Explanation | Ref. | Debit | Credit | Balance |
| Apr. 30 | | J1 | 2,400 | | 2,400 |

| Rent Expense | | | | | No. 729 |
|---|---|---|---|---|---|
| Date | Explanation | Ref. | Debit | Credit | Balance |
| Apr. 2 | | J1 | 1,000 | | 1,000 |

iii) Trial Balance

(c)

**MARIA JUAREZ, DENTIST**
**Trial Balance**
**April 30, 2010**

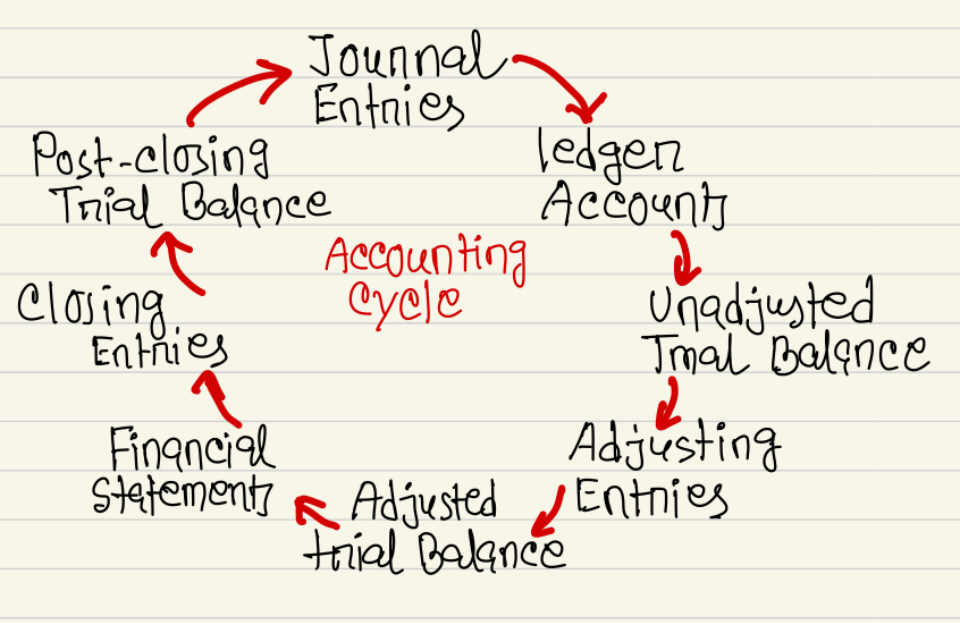
| | Debit | Credit |
|---|---|---|
| Cash | $38,100 | |
| Accounts Receivable | 5,100 | |
| Supplies | 4,000 | |
| Accounts Payable | | $ 2,400 |
| Unearned Revenue | | 1,000 |
| Maria Juarez, Capital | | 40,000 |
| Service Revenue | | 7,200 |
| Salaries Expense | 2,400 | |
| Rent Expense | 1,000 | |
| | $50,600 | $50,600 |

3. a) A cloth store makes a sale of clothes for $1,000 on November 30. The customer is sent a statement on December 5 and a cheque is received on December 10. The cloth store follows Revenue Recognition Principle. When is the $1,000 considered to be earned? Explain the reason. 5

According to revenue recognition principle, revenue should be recognized when it is earned, regardless of when payment is received. According to it, $1000 is earned on November 30.

It ensures that revenue is not recognized prematurely, which could inflate the company's financial results. It also ensures consistency in financial reporting across different companies and industries, making it easier for investors and stakeholders to compare financial performance.

b) Draw the Accounting Cycle. 5



c) John Kent, D.D.S., opened a dental practice on January 1, 2018. During the first month of operations the following transactions occurred. 15

i) Performed services for patients who had dental plan insurance. At January 31, $875 of such services was earned but not yet recorded.

ii) Utility expenses incurred but not paid prior to January 31 totaled $520.

iii) Purchased dental equipment on January 1 for $80,000, paying $20,000 in cash and signing a $60,000, 3-year note payable. The equipment depreciates $400 per month. Interest is $500 per month.

iv) Purchased a one-year malpractice insurance policy on January 1 for $12,000.

v) Purchased $1,600 of dental supplies. On January 31, determined that $400 of supplies were on hand.

**Required:**

Prepare the adjusting entries on January 31. Account titles are: Accumulated Depreciation—Dental Equipment, Depreciation Expense, Service Revenue, Accounts Receivable, Insurance Expense, Interest Expense, Interest Payable, Prepaid Insurance, Supplies, Supplies Expense, Utilities Expense, and Utilities Payable.

## Adjusting entries

| Date | **Accounts title** | **Debit** | **Credit** |
|---|---|---|---|
| 2018 Jan 31 | Accounts receivables | $ 875.00 | |
| | Service revenue | | $ 875.00 |
| | (revenue earned now recorded) | | |
| | | | |
| Jan 31 | Utilities expense | $ 520.00 | |
| | Utilities Payable | | $ 520.00 |
| | (Amount due to be paid) | | |
| | | | |
| Jan 31 | Depreciation expense | $ 400.00 | |
| | Accumulated Depreciation - Equipment | | $ 400.00 |
| | (depreciation recorded) | | |
| | | | |
| Jan 31 | Interest expense | $ 500.00 | |
| | Interest payable | | $ 500.00 |
| | (Interest accrued to be paid) | | |
| | | | |

| | | | |
|---|---|---|---|
| Jan 31 | Insurance Expense [1 month insurance = 12000/12] | $ 1,000.00 | |
| | Prepaid Insurance | | $ 1,000.00 |
| | (1 month insurance expired) | | |
| | | | |
| Jan 31 | Supplies expense | $ 1,200.00 | |
| | Supplies | | $ 1,200.00 |
| | (Supplies consumed = 1600 - 400) | | |

4. a) John Frank believes that the analysis of financial statements is directed at two characteristics of a company: liquidity and profitability. Is John correct? Explain. 5

John Frank is wrong. There are three Characteristics at which the analysis of financial statements is directed. These three characteristics are as follows.

1. Liquidity
2. Profitability and
3. Solvency

No they are not all interested in the same thing.

- Short-term creditors are interested in liquidity
- Long-term creditors and stockholders are interested in profitability and solvency

b) Using the following data from the comparative balance sheet of Rodenbeck Company, prepare a schedule showing the **Horizontal Analysis** and **Vertical Analysis**. 8

| | December 31, 2018 | December 31, 2017 |
|---|---|---|
| Accounts receivable | $ 520,000 | $ 400,000 |
| Inventory | $ 840,000 | $ 600,000 |
| Total assets | $ 3,000,000 | $2,500,000 |

**Horizontal analysis:**

| | Dec. 31, 2011 | Dec. 31, 2010 | Increase or (Decrease) Amount | Increase or (Decrease) Percentage |
|---|---|---|---|---|
| Accounts receivable | $ 520,000 | $ 400,000 | $120,000 | 30% |
| Inventory | $ 840,000 | $ 600,000 | $240,000 | 40% |
| Total assets | $3,000,000 | $2,500,000 | $500,000 | 20% |

$\frac{120,000}{400,000} = .30$ $\frac{240,000}{600,000} = .40$ $\frac{500,000}{2,500,000} = .20$

**Vertical analysis:**

| | Dec. 31, 2011 | | Dec. 31, 2010 | |
|---|---|---|---|---|
| | Amount | Percentage* | Amount | Percentage** |
| Accounts receivable | $ 520,000 | 17.3% | $ 400,000 | 16.0% |
| Inventory | $ 840,000 | 28.0% | $ 600,000 | 24.0% |
| Total assets | $3,000,000 | 100% | $2,500,000 | 100% |

$* \frac{520,000}{3,000,000} = .173$ $** \frac{400,000}{2,500,000} = .16$

$* \frac{840,000}{3,000,000} = .28$ $** \frac{600,000}{2,500,000} = .24$

c) Selected comparative statement data for Best Products Company are presented below. All balance sheet data are as of December 31. 12

| | 2018 | 2017 |
|---|---|---|
| Net sales | $660,000 | $620,000 |
| Cost of goods sold | 480,000 | 440,000 |
| Interest expense | 7,000 | 5,000 |
| Net income | 50,000 | 35,000 |
| Accounts receivable | 120,000 | 100,000 |
| Inventory | 85,000 | 75,000 |
| Total assets | 530,000 | 415,000 |
| Accounts Payable | 60,000 | 40,000 |
| Bonds Payable | 40,000 | 50,000 |
| Common Stock | 400,000 | 300,000 |
| Retained Earnings | 30,000 | 25,000 |
| Cash Dividends | 20,000 | 10,000 |

**Required:**

Compute the following ratios for 2018.

(i) Inventory turnover.

(ii) Asset Turnover.

(iii) Return on assets.

(iv) Return on common stockholders' equity.

(v) Payout Ratio.

(vi) Debt to Total Assets Ratio.

Solution —

Given information in the question :—

① Inventory turnover :—

formula —

$$\text{Inventory Turnover (for 2018)} = \frac{\text{Cost of goods Sold in 2018 year}}{\text{Average Inventory}}$$

firstly we find out Average Inventory —

$$\text{Average Inventory} = \frac{\text{Opening Inventory} + \text{closing Inventory}}{2}$$

$$= \frac{\text{In 2017 Inventory} + \text{In 2018 Inventory}}{2}$$

$$= \frac{\$\ 85{,}000 + \$\ 95{,}000}{2}$$

$$= \frac{\$180{,}000}{2} = \underline{\$90{,}000}$$

$$\text{Inventory Turnover (for 2018)} = \frac{\text{C.O.G.S}}{\text{Ave. Inventory}}$$

$$= \frac{\$\ 380{,}000}{\$\ 90{,}000}$$

$$= \underline{4.222 \text{ Times}}$$

Hence. Inventory turnover = 4.22 Times.

Asset turnover = (Net sales)/(average assets)

=((660,000+620,000)/2)/((530,000+415,000)/2)

Return on assets = (Net income)/(Average assets)

=((50,000+35,000)/2)/((530,000+415,000)/2)

(ii). Return on Common Stockholder's Equity :—

formula :

$$ROCE = \frac{\text{Net Income} - \text{Preferred dividend}}{\text{Average Common Stockholders' Equity}}$$

Firstly we find out Ave. Common Stockholder's Eq. :—

$$\text{Ave. Common Stockholders' Eq.} = \frac{\text{Opening Common Stock for (2018)} + \text{Ending Common Stock for 2019}}{2}$$

$$= \frac{\$300,000 + \$400,000}{2}$$

$$= \frac{\$700,000}{2} = \underline{\$350,000}$$

$$ROCE = \frac{\text{Net Income} - \text{Preferred dividend}}{\text{Ave. Common Stockholders Equity}}$$

$$= \frac{\$50,000 - \$20,000}{\$350,000}$$

$$= \frac{\$30,000}{\$350,000} = \underline{0.0857}$$

Hence, Return on Common Stockholder's Equity = 0.0857

(iii). Payout Ratio :- Also known as Dividend Payout Ratio :-

formula -

$$\text{Payout Ratio} = \frac{\text{Total Dividend}}{\text{Net Income}} * 100$$

$$= \frac{\$\ 20,000}{\$\ 50,000} * 100$$

$$= \underline{40\%}$$

Hence, Payout Ratio is 40%.

(iv). Debt to Total Assets Ratio :-

formula -

$$\text{Debt to Total Assets Ratio} = \frac{\text{Total Debt}}{\text{Total Assets}}$$

firstly we find out Total Debt :-

formula -

$$\text{Total Debt} = (\text{Short-term Debt}) + (\text{long-term debt})$$

$$= (\text{Account payable}) + (\text{Bonds payable})$$

$$= (\$\ 60,000) + (\$\ 40,000)$$

$$\text{Total Debt} = \underline{\$\ 100,000}$$

$$\text{Debt-to-Total Assets Ratio} = \frac{\text{Total Debts}}{\text{Total Assets}}$$

$$= \frac{\$100,000}{\$530,000}$$

$$= 0.188679$$

Hence. Debt to total Assets Ratio is 0.188679.

# Mid 2020 SWE

Tags

Full repeat

solve cdi

# Mid 2022 CSE

Tags

a) Zubayer Ahmed, a beginning accounting student, believes that double-entry system means each transaction must be recorded twice. Is Zubayer correct? Explain. 5 (CO1) (PO1)

Double entry system doesn't mean that each transaction will be recorded twice. It means that each entry will affect two sides of the column. So Zubayer is wrong

Double entry system is a method of bookkeeping in accounting that requires every financial transaction to be recorded in at least two different accounts. This system is based on the concept that every transaction has two aspects, a debit and a credit.

The double entry system ensures accuracy in accounting records, as it helps to identify errors and prevent fraud. It also allows businesses to prepare financial statements such as the balance sheet, income statement, and cash flow statement, which provide a comprehensive picture of their financial position and performance

(PO1)

b) The trial balance of Syed Moiz Co. shown in table-1 does not balance. 20 (CO2, CO3) (PO2, PO4)

SYED MOIZ CO.
Trial Balance
June 30, 2010

| Account Titles | Debit | Credit |
|---|---|---|
| Cash | | $ 3,340 |
| Accounts Receivable | $ 2,731 | |
| Supplies | 1,200 | |
| Equipment | 2,600 | |
| Accounts Payable | | 3,666 |
| Unearned Revenue | 1,100 | |
| S. Moiz, Capital | | 8,000 |
| S. Moiz, Drawing | 800 | |
| Service Revenue | | 2,480 |
| Salaries Expense | 3,200 | |
| Office Expense | | 810 |
| Total | **$12,441** | **$17,486** |

**Table-1**

Each of the listed accounts has a **normal balance** per the general ledger. An examination of the ledger and journal reveals the following errors.

**i)** Cash received from a customer in payment of its account was debited for $480, and Accounts Receivable was credited for the same amount. The actual collection was for $840.

**ii)** The purchase of a computer on account for $620 was recorded as a debit to Supplies for $620 and a credit to Accounts Payable for $620.

**iii)** Services were performed on account for a client for $890. Accounts Receivable was debited for $890, and Service Revenue was credited for $89.

**iv)** A debit posting to Salaries Expense of $700 was omitted.

**v)** A payment of a balance due for $306 was credited to Cash for $306 and credited to Accounts Payable for $360.

1

**vi)** The withdrawal of $600 cash for Moiz's personal use was debited to Salaries Expense for $600 and credited to Cash for $600.

**Required:**

Prepare a **Correct Trial Balance**. (*Hint:* It helps to prepare the correct journal entry for the transaction described and compare it to the mistake made).

Trial Balance
June 30, 2010

| Account Titles | Debit | Credit |
|---|---|---|
| Cash | 3340+360 | |
| Accounts Recievable | 2731-360 | |
| Supplies | 1200-620 | |
| Equipment | 2600+620 | |
| Accounts Payable | | 3666-360-306 |
| Unearned Revenue | | 1,100 |
| S. Moiz, Capital | | 8000 |
| S. Moiz, Drawing | 1408 | |
| Service Revenue | | 2480+801 |
| Salaries Expense | 3200+700-600 | |
| office Expense | 810 | |
| Total | 15,381 | 15,381 |

2. a) A cloth store makes a sale of clothes for $1,000 on November 30. The customer is sent a statement on December 5 and a cheque is received on December 10. The cloth store follows Revenue Recognition Principle. When is the $1,000 considered to be earned? Explain the reason. 5 (CO1) (PO1)

According to revenue recognition principle, revenue should be recognized when it is earned, regardless of when payment is received. According to it, $1000 is earned on November 30.

It ensures that revenue is not recognized prematurely, which could inflate the company's financial results. It also ensures consistency in financial reporting across different companies and industries, making it easier for investors and stakeholders to compare financial performance.

b) The worksheet for Hancock Company shows the following table-2 in the financial statement columns: 5 (CO2) (PO2)

| | |
|---|---|
| R. Hancock, Drawing | $15,000 |
| R. Hancock, Capital | $42,000 |
| Net Loss | $8,000 |

**Table-2**

**Required:**

Prepare the closing entries at December 31 that affect owner's capital.

b) Closing Entries
December 31

| Date | Accounts Title | Ref | Debit $ | Credit $ |
|---|---|---|---|---|
| Dec 31 | R. Hancock, Capital Dr | | 8000 | |
| | Income Summary Cr | | | 8000 |
| Dec 31 | R. Hancock, Capital Dr | | 15000 | |
| | R. Hancock, drawings Cr | | | 15000 |

Updated R. Hancock Capital = 42000 − 8000 − 15000

= 19000

c) Givens Graphics Company was organized on January 1, 2010, by Sue Givens. At the end of the first 6 months of operations, the trial balance contained the accounts in table-3: 15 (CO3) (PO4)

| Debits | |
|---|---|
| Cash | $ 9,500 |
| Accounts Receivable | 14,000 |
| Equipment | 45,000 |
| Insurance Expense | 1,800 |
| Salaries Expense | 30,000 |
| Supplies Expense | 3,700 |
| Advertising Expense | 1,900 |
| Rent Expense | 1,500 |
| Utilities Expense | 1,700 |
| **Total** | $109,100 |

| Credits | |
|---|---|
| Notes Payable | $20,000 |
| Accounts Payable | 9,000 |
| Sue Givens, Capital | 22,000 |
| Graphic Revenue | 52,100 |
| Consulting Revenue | 6,000 |
| **Total** | $109,100 |

**Table-3**

Analysis reveals the following additional data:

i) The $3,700 balance in Supplies Expense represents supplies purchased in January. At June 30, $1,300 of supplies was on hand.
ii) The note payable was issued on February 1. It is a 9%, 6-month note.
iii) The balance in Insurance Expense is the premium on a one-year policy, dated March 1, 2010.
iv) Consulting fees are credited to revenue when received. At June 30, consulting fees of $1,500 are unearned.
v) Graphic revenue earned but unrecorded at June 30 totals $2,000.
vi) Depreciation is $2,000 per year.

Required 1: Journalize the adjusting entries at June 30. (Assume adjustments are recorded every 6
months.)
Required 2: Prepare an adjusted trial balance.

Journal

| Date | Accounts Title | Debit | Credit |
|---|---|---|---|
| | | $ | $ |
| June 30 | Supplies | 1,300 | |
| | Supplies Expense | | 1,300 |
| | | | |
| June 30 | Interest expense | 750 | |
| | Interest payable | | 750 |
| | | | |

| Date | Accounts Title | Debit | Credit |
|---|---|---|---|
| June 30 | Prepaid Insurance | 1,200 | |
| | Insurance Expense | | 1,200 |
| | | | |
| June 30 | Consulting Revenue | 1,500 | |
| | Unearned Consulting Revenue | | 1,500 |
| | | | |
| June 30 | Accounts Receivable | 2,000 | |
| | Graphic Revenue | | 2,000 |
| | | | |
| June 30 | Depreciation expense - equipment | 1,000 | |
| | Accumulated Depreciation - equipment | | 1,000 |

Calculation:

1. Interest expense = paid interest for 5 months = 20,000x9%*5/12 = $750
2. Prepaid Insurance = remaining insurance of 8 months = 1800/12*8 = $1,200
3. Depreciation expense for 1/2 year= 2,000/2 = $1,000

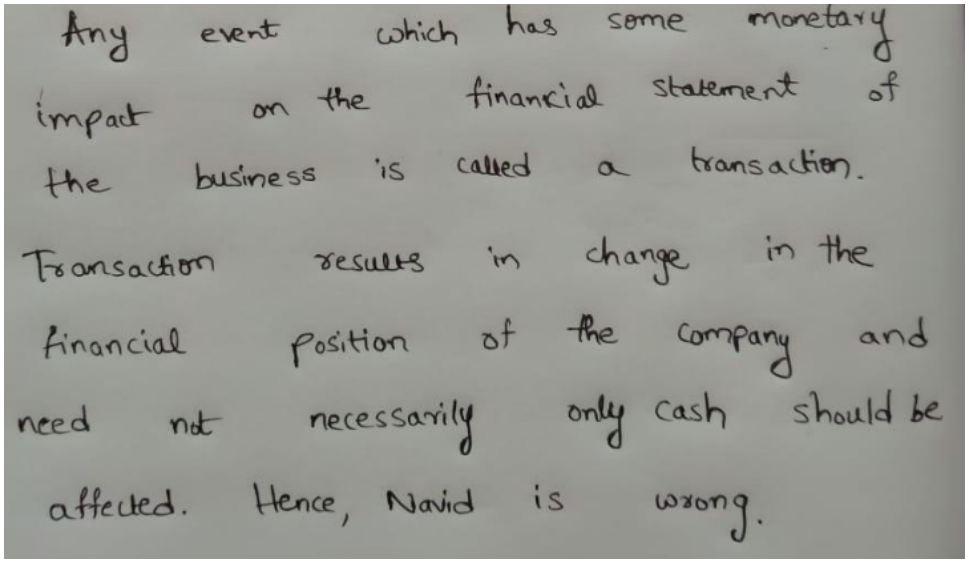
## Adjusted Trial Balance

## For the month ended on June 30, 2010

| Accounts Title | Debit | Credit |
|---|---|---|
| | $ | $ |
| Cash | 9500 | |
| Accounts Receivable (14,000+2,000) | 14000+2000=16000 | |
| Supplies | 1300 | |
| Prepaid Insurance | 1200 | |
| Equipment | 45000 | |
| Accumulated Depreciation - equipment | | 1000 |
| Notes payable | | 2000 |
| Accounts Payable | | 9000 |

| Accounts Title | Debit | Credit |
|---|---|---|
| Interest payable | | 750 |
| Unearned Consulting Revenue | | 1500 |
| Sue Givens, Capital | | 22000 |
| Graphic Revenue | | 52,100+2,000=24100 |
| Consulting Revenue | | 6,000-1,500=4500 |
| Insurance Expense | 1,800-1,200=600 | |
| Salaries Expense | 30000 | |
| Supplies Expense | 3,700-1,300=2400 | |
| Advertising Expense | 1900 | |
| Rent Expense | 1500 | |
| Utilities Expense | 1700 | |
| Depreciation expense - equipment | 1000 | |
| Interest expense | 750 | |
| Total | 112,850 | 112,850 |

3. a) Navid, a beginning accounting student, believes that the Criterion for which a business event become a transaction is "The company's cash must be affected". Is Navid Correct? Explain the reason. 5 (CO1) (PO1)



b) Rees Corporation experienced a fire on December 31, 2011, in which its financial records were partially destroyed. It has been able to salvage some of the records and has ascertained the following balances in table-4: 12 (CO2) (PO2)

| | December 31, 2011 | December 31, 2010 |
|---|---|---|
| Cash | $ 30,000 | $ 10,000 |
| Receivables (net) | 72,500 | 126,000 |
| Inventory | 200,000 | 180,000 |
| Accounts payable | 50,000 | 90,000 |
| Notes payable | 30,000 | 60,000 |
| Common stock, $100 par | 400,000 | 400,000 |
| Retained earnings | 113,500 | 101,000 |

**Table-4**

**Additional information:**

- The inventory turnover is 3.5 times.
- The return on common stockholders' equity is 24%. The company had no additional paid-in capital.
- The receivables turnover is 8.8 times.
- The return on assets is 20%.
- Total assets at December 31, 2010, were $605,000.

**Required:**

Compute the following for Rees Corporation.

**i)** Cost of goods sold for 2011.
**ii)** Net sales (credit) for 2011.
**iii)** Net income for 2011.
**iv)** Total assets at December 31, 2011.

(i) We know,

Inventory Turnover Ratio

= [Cost of Goods Sold /Average Inventory]

∴ Average inventory = (180000+200000)/2=190,000

Now, 3.5 = [Cost of Goods Sold / 190,000]

∴ Cost of Goods Sold = [190,000 * 3.5] = 665,000

Here,

Inventory Turnover ratio = 3.5

Beginning inventory = 180,000

Ending inventory = 200,000

(ii) We know,

Accounts Receivable Turnover

= [Net Sales / Average Accounts Receivables]

∴ Average accounts receiveable

Here,

Accounts receivable turnover = 8.8

=(76,000+126,000)/2=99,250

Now, 8.8 = [Net Sales/99,250]

∴ Net Sales (Credit) = [99,250 * 8.8] = 873,400

Beginning accounts receiveable = 76,000

Ending accounts receiveable = 126,000

(iii) We know,

Net income = [Net Sales - Cost of Goods Sold]

Now, Net income

= [873,400-665,000] = 208,400

Here,

Net sales = 873,400

Cost of goods sold = 665,000

(iv) We know,

Return on Assets = [Net income / Total Assets]

Now, 0.2 =[208,400/Total Assets]

∴ TotalAssets = [208,400/0.20] = 1,042,000

Here,

Return on assets = 20%

Net income = 208,400

c) Selected comparative statement data for Best Products Company are presented in table-5. All balance sheet data are as of December 31. 8 (CO3) (PO4)

| | 2018 | 2017 |
|---|---|---|
| Net sales | $660,000 | $620,000 |
| Cost of goods sold | 380,000 | 340,000 |
| Interest expense | 7,000 | 5,000 |
| Net income | 50,000 | 35,000 |
| Accounts receivable | 120,000 | 100,000 |
| Inventory | 95,000 | 85,000 |

| | | |
|---|---|---|
| Total assets | 530,000 | 415,000 |
| Accounts Payable | 60,000 | 40,000 |
| Bonds Payable | 40,000 | 50,000 |
| Common Stock | 400,000 | 300,000 |
| Retained Earnings | 30,000 | 25,000 |
| Cash Dividends | 20,000 | 10,000 |

**Table-5**

**Required:**

Compute the following ratios for 2018.

(i) Inventory turnover.

(ii) Return on common stockholders' equity.

(iii) Payout Ratio.

(iv) Debt to Total Assets Ratio.

Solution —

Given information in the question :—

① Inventory turnover :—

formula —

$$\text{Inventory Turnover (for 2018)} = \frac{\text{Cost of goods Sold in 2018 year}}{\text{Average Inventory}}$$

firstly we find out Average Inventory —

$$\text{Average Inventory} = \frac{\text{Opening Inventory} + \text{closing Inventory}}{2}$$

$$= \frac{\text{In 2017 Inventory} + \text{In 2018 Inventory}}{2}$$

$$= \frac{\$\ 85{,}000 + \$\ 95{,}000}{2}$$

$$= \frac{\$180{,}000}{2} = \underline{\$90{,}000}$$

$$\text{Inventory Turnover (for 2018)} = \frac{\text{C.O.G.S}}{\text{Ave. Inventory}}$$

$$= \frac{\$\ 380{,}000}{\$\ 90{,}000}$$

$$= \underline{4.222 \text{ Times}}$$

Hence. Inventory turnover = 4.22 Times.

(ii). Return on Common Stockholder's Equity :—

formula :

$$\text{ROCE} = \frac{\text{Net Income} - \text{Preferred dividend}}{\text{Average Common Stockholders' Equity}}$$

Firstly we find out Ave. Common Stockholder's Eq. :—

$$\text{Ave. Common Stockholders' Eq.} = \frac{\text{Opening Common Stock for (2018)} + \text{Ending Common Stock for 2019}}{2}$$

$$= \frac{\$300,000 + \$400,000}{2}$$

$$= \frac{\$700,000}{2} = \underline{\$350,000}$$

$$\text{ROCE} = \frac{\text{Net Income} - \text{Preferred dividend}}{\text{Ave. Common Stockholders Equity}}$$

$$= \frac{\$50,000 - \$20,000}{\$350,000}$$

$$= \frac{\$30,000}{\$350,000} = \underline{0.0857}$$

Hence, Return on Common Stockholder's Equity = 0.0857

(iii). Payout Ratio :- Also known as Dividend Payout Ratio :-

formula -

$$\text{Payout Ratio} = \frac{\text{Total Dividend}}{\text{Net Income}} * 100$$

$$= \frac{\$\ 20,000}{\$\ 50,000} * 100$$

$$= \underline{40\%}$$

Hence, Payout Ratio is 40%.

(iv). Debt to Total Assets Ratio :-

formula -

$$\text{Debt to Total Assets Ratio} = \frac{\text{Total Debt}}{\text{Total Assets}}$$

firstly we find out Total Debt :-

formula -

$$\text{Total Debt} = (\text{Short-term Debt}) + (\text{long-term debt})$$

$$= (\text{Account payable}) + (\text{Bonds payable})$$

$$= (\$\ 60,000) + (\$\ 40,000)$$

$$\text{Total Debt} = \underline{\$\ 100,000}$$

$$\text{Debt-to-Total Assets Ratio} = \frac{\text{Total Debts}}{\text{Total Assets}}$$

$$= \frac{\$100,000}{\$530,000}$$

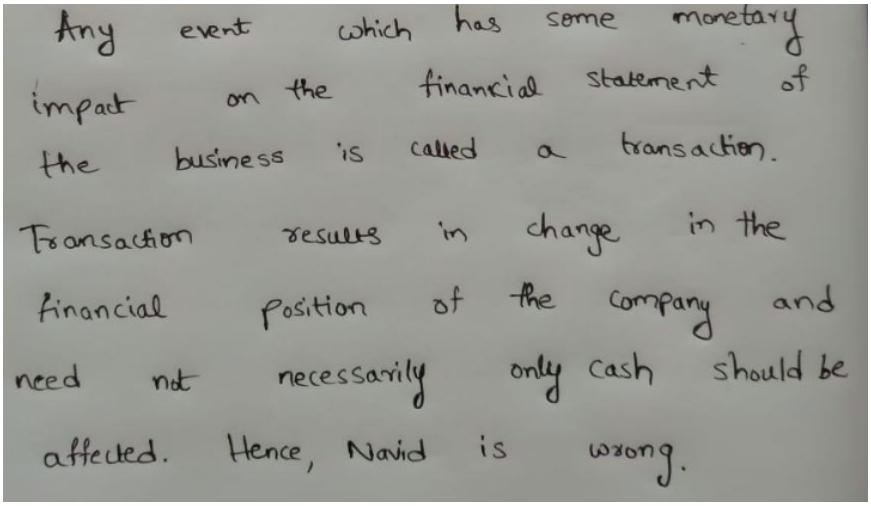
$$= 0.188679$$

Hence. Debt to total Assets Ratio is 0.188679.

# Mid 2022 SWE

Tags

1. a) Ratul, a beginning accounting student, believes that the Criterion for which a business event become a transaction is "The company's cash must be affected". Is Ratul Correct? Explain the reason. 5 (CO1) (PO1)




b) Perkins Corporation reported in table-1 the amounts in 2009, 2010, and 2011. 12 (CO2) (PO2)

| | 2009 | 2010 | 2011 |
|---|---|---|---|
| Current assets | $200,000 | $230,000 | $240,000 |
| Current liabilities | $160,000 | $168,000 | $184,000 |
| Total assets | $500,000 | $600,000 | $620,000 |

**Table-1**

**Required:**

i) What are the three tools of financial statement analysis?
ii) Perform each of the three types of analysis on Perkins Corporation's current assets.

i)

The three tools of financial statement analysis are

1. The **income statement,**
2. **balance sheet, and**
3. **statement of cash flows**

These three statements are informative tools that traders can use to analyze a company's financial strength and provide a quick picture of a company's financial health and underlying value.

Three tools of financial statement analysis are

i) Ratio analysis
ii) Horizontal analysis
iii) Trend analysis

| | 2009 | | 2010 | | 2011 | |
|---|---|---|---|---|---|---|
| i) **Current ratio** | | | | | | |
| Current assets | 200,000 | 1.25 | 230,000 | 1.37 | 240,000 | 1.30 |
| Current liabilities | 160,000 | | 168,000 | | 184,000 | |

ii) Horizontal analysis

| | | | Change | | |
|---|---|---|---|---|---|
| | **2009** | **2010** | **Amount** | **%** | |
| Current assets | $200,000 | $230,000 | $30,000 | 15.0% | Change Amount/2009 amount |
| Current labilities | $160,000 | $168,000 | $8,000 | 5.0% | |
| Total assets | $500,000 | $600,000 | $100,000 | 20.0% | |

| | 2009 | 2010 | 2011 |
|---|---|---|---|
| Current assets | $200,000 | $230,000 | $240,000 |
| Current labilities | $160,000 | $168,000 | $184,000 |
| Total assets | $500,000 | $600,000 | $620,000 |

iii) Trend analysis

| | 2009 | 2010 | 2011 |
|---|---|---|---|
| Current assets | 100.0% | 115.0% | 120.0% |
| Current labilities | 100.0% | 105.0% | 115.0% |
| Total assets | 100.0% | 120.0% | 124.0% |

2019 numbers are kept constant and 2010 and 2011 amounts are expressed as a percent of it

c) Selected comparative statement data for Best Products Company are presented in table-2. All balance sheet data are as of December 31. 8 (CO3) (PO4)

| | 2018 | 2017 |
|---|---|---|
| Net sales | $660,000 | $620,000 |
| Cost of goods sold | 380,000 | 340,000 |
| Interest expense | 7,000 | 5,000 |
| Net income | 50,000 | 35,000 |
| Accounts receivable | 120,000 | 100,000 |
| Inventory | 95,000 | 85,000 |
| Total assets | 530,000 | 415,000 |
| Accounts Payable | 60,000 | 40,000 |
| Bonds Payable | 40,000 | 50,000 |
| Common Stock | 400,000 | 300,000 |
| Retained Earnings | 30,000 | 25,000 |
| Cash Dividends | 20,000 | 10,000 |

**Table-2**

**Required:**

Compute the following ratios for 2018.

**(i)** Inventory turnover. 1

**(ii)** Return on common stockholders' equity.

**(iii)** Payout Ratio.

**(iv)** Debt to Total Assets Ratio.

Solution —

Given information in the question :—

① Inventory turnover :—

formula —

$$\text{Inventory Turnover (for 2018)} = \frac{\text{Cost of goods Sold in 2018 year}}{\text{Average Inventory}}$$

firstly we find out Average Inventory —

$$\text{Average Inventory} = \frac{\text{Opening Inventory} + \text{closing Inventory}}{2}$$

$$= \frac{\text{In 2017 Inventory} + \text{In 2018 Inventory}}{2}$$

$$= \frac{\$\ 85{,}000 + \$\ 95{,}000}{2}$$

$$= \frac{\$180{,}000}{2} = \underline{\$90{,}000}$$

$$\text{Inventory Turnover (for 2018)} = \frac{\text{C.O.G.S}}{\text{Ave. Inventory}}$$

$$= \frac{\$\ 380{,}000}{\$\ 90{,}000}$$

$$= \underline{4.222 \text{ Times}}$$

Hence. Inventory turnover = 4.22 Times.

(ii). Return on Common Stockholder's Equity :—

formula :

$$ROCE = \frac{\text{Net Income} - \text{Preferred dividend}}{\text{Average Common Stockholders' Equity}}$$

Firstly we find out Ave. Common Stockholder's Eq. :—

$$\text{Ave. Common Stockholders' Eq.} = \frac{\text{Opening Common Stock for (2018)} + \text{Ending Common Stock for 2019}}{2}$$

$$= \frac{\$300,000 + \$400,000}{2}$$

$$= \frac{\$700,000}{2} = \underline{\$350,000}$$

$$ROCE = \frac{\text{Net Income} - \text{Preferred dividend}}{\text{Ave. Common Stockholders Equity}}$$

$$= \frac{\$50,000 - \$20,000}{\$350,000}$$

$$= \frac{\$30,000}{\$350,000} = \underline{0.0857}$$

Hence, Return on Common Stockholder's Equity = 0.0857

(iii). Payout Ratio :- Also known as Dividend Payout Ratio :-

formula -

$$\text{Payout Ratio} = \frac{\text{Total Dividend}}{\text{Net Income}} * 100$$

$$= \frac{\$\ 20,000}{\$\ 50,000} * 100$$

$$= \underline{40\%}$$

Hence, Payout Ratio is 40%.

(iv). Debt to Total Assets Ratio :-

formula -

$$\text{Debt to Total Assets Ratio} = \frac{\text{Total Debt}}{\text{Total Assets}}$$

firstly we find out Total Debt :-

formula -

$$\text{Total Debt} = (\text{Short-term Debt}) + (\text{long-term debt})$$

$$= (\text{Account payable}) + (\text{Bonds payable})$$

$$= (\$\ 60,000) + (\$\ 40,000)$$

$$\text{Total Debt} = \underline{\$\ 100,000}$$

Debt-to-Total Assets Ratio = $\frac{\text{Total Debts}}{\text{Total Assets}}$

$= \frac{\$100,000}{\$530,000}$

$= 0.188679$

Hence, Debt to total Assets Ratio is 0.188679.

2. a) A cloth store makes a sale of clothes for $1,000 on November 30. The customer is sent a statement on December 5 and a cheque is received on December 10. The cloth store follows Revenue Recognition Principle. When is the $1,000 considered to be earned? Explain the reason. 5 (CO1) (PO1)

According to revenue recognition principle, revenue should be recognized when it is earned, regardless of when payment is received. According to it, $1000 is earned on November 30.

It ensures that revenue is not recognized prematurely, which could inflate the company's financial results. It also ensures consistency in financial reporting across different companies and industries, making it easier for investors and stakeholders to compare financial performance.

b) The worksheet for Carey Company shows the following table-3 in the financial statement columns: 5 (CO2) (PO2)

| | |
|---|---|
| Carey, Drawing | $15,000 |
| Carey, Capital | $42,000 |
| Net Income | $8,000 |

**Table-3**

**Required:**

Prepare the closing entries at December 31 that affect owner's capital.

**Closing entries:**

| Date | Account | Dr | Cr |
|---|---|---|---|
| | Net Income | $8,000 | |
| | Carey, Capital | | $8,000 |
| | (To close the net income) | | |

| Date | Account | Dr | Cr |
|---|---|---|---|
| | Carey, Capital | $15,000 | |
| | Carey, Drawing | | $15,000 |
| | To close the drawing account | | |

c) Studio Graphics Company was organized on January 1, 2018, by Sue Givens. At the end of the first 6 months of operations, the trial balance contained the accounts in table-4: 15 (CO3) (PO4)

| Debits | |
|---|---|
| Cash | $ 9,500 |
| Accounts Receivable | 14,000 |
| Equipment | 45,000 |
| Insurance Expense | 1,800 |
| Salaries Expense | 30,000 |
| Supplies Expense | 3,700 |
| Advertising Expense | 1,900 |
| Rent Expense | 1,500 |
| Utilities Expense | 1,700 |
| **Total** | $109,100 |

| Credits | |
|---|---|
| Notes Payable | $20,000 |
| Accounts Payable | 9,000 |
| Sue Givens, Capital | 22,000 |
| Graphic Revenue | 52,100 |
| Consulting Revenue | 6,000 |
| **Total** | $109,100 |

2/3

**Table-4**

Analysis reveals the following additional data:

i) The $3,700 balance in Supplies Expense represents supplies purchased in January. At June 30, $1,300 of supplies was on hand.

ii) The note payable was issued on February 1. It is a 9%, 6-month note.

iii) The balance in Insurance Expense is the premium on a one-year policy, dated March 1, 2018.

iv) Consulting fees are credited to revenue when received. At June 30, consulting fees of $1,500 are unearned.

v) Graphic revenue earned but unrecorded at June 30 totals $2,000.

vi) Depreciation is $2,000 per year.

**Required 1:** Journalize the adjusting entries at June 30. (Assume adjustments are recorded every 6 months.)

**Required 2:** Prepare an adjusted trial balance.

## Journal

| Date | Accounts Title | Debit | Credit |
|---|---|---|---|
| | | $ | $ |
| June 30 | Supplies | 1,300 | |
| | Supplies Expense | | 1,300 |
| | | | |
| June 30 | Interest expense | 750 | |
| | Interest payable | | 750 |
| | | | |
| June 30 | Prepaid Insurance | 1,200 | |
| | Insurance Expense | | 1,200 |
| | | | |
| June 30 | Consulting Revenue | 1,500 | |
| | Unearned Consulting Revenue | | 1,500 |
| | | | |
| June 30 | Accounts Receivable | 2,000 | |
| | Graphic Revenue | | 2,000 |
| | | | |
| June 30 | Depreciation expense - equipment | 1,000 | |
| | Accumulated Depreciation - equipment | | 1,000 |

Calculation:

1. Interest expense = paid interest for 5 months = 20,000x9%*5/12 = $750
2. Prepaid Insurance = remaining insurance of 8 months = 1800/12*8 = $1,200
3. Depreciation expense for 1/2 year= 2,000/2 = $1,000

## Adjusted Trial Balance

## For the month ended on June 30, 2010

| Accounts Title | Debit | Credit |
|---|---|---|
| | $ | $ |

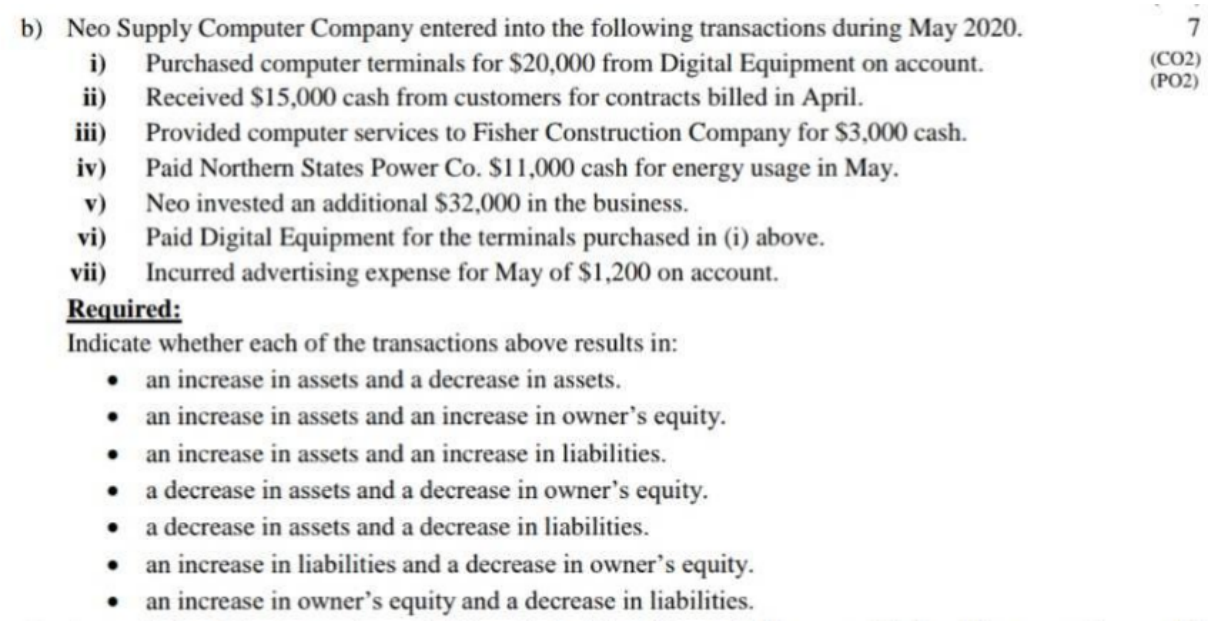
| Accounts Title | Debit | Credit |
|---|---|---|
| Cash | 9500 | |
| Accounts Receivable (14,000+2,000) | 14000+2000=16000 | |
| Supplies | 1300 | |
| Prepaid Insurance | 1200 | |
| Equipment | 45000 | |
| Accumulated Depreciation - equipment | | 1000 |
| Notes payable | | 2000 |
| Accounts Payable | | 9000 |
| Interest payable | | 750 |
| Unearned Consulting Revenue | | 1500 |
| Sue Givens, Capital | | 22000 |
| Graphic Revenue | | 52,100+2,000=24100 |
| Consulting Revenue | | 6,000-1,500=4500 |
| Insurance Expense | 1,800-1,200=600 | |
| Salaries Expense | 30000 | |
| Supplies Expense | 3,700-1,300=2400 | |
| Advertising Expense | 1900 | |
| Rent Expense | 1500 | |
| Utilities Expense | 1700 | |
| Depreciation expense - equipment | 1000 | |
| Interest expense | 750 | |
| Total | 112,850 | 112,850 |

a) Fuad Hasan, a beginning accounting student, believes that double-entry system means each transaction must be recorded twice. Is Fuad correct? Explain. 5 (CO1) (PO1)

Double entry system doesn’t mean that each transaction will be recorded twice. It means that each entry will affect two sides of the column. So Fuad is wrong

Double entry system is a method of bookkeeping in accounting that requires every financial transaction to be recorded in at least two different accounts. This system is based on the concept that every transaction has two aspects, a debit and a credit.

The double entry system ensures accuracy in accounting records, as it helps to identify errors and prevent fraud. It also allows businesses to prepare financial statements such as the balance sheet, income statement, and cash flow statement, which provide a comprehensive picture of their financial position and performance



b) Neo Supply Computer Company entered into the following transactions during May 2020. 7 (CO2) (PO2)

i) Purchased computer terminals for $20,000 from Digital Equipment on account.
ii) Received $15,000 cash from customers for contracts billed in April.
iii) Provided computer services to Fisher Construction Company for $3,000 cash.
iv) Paid Northern States Power Co. $11,000 cash for energy usage in May.
v) Neo invested an additional $32,000 in the business.
vi) Paid Digital Equipment for the terminals purchased in (i) above.
vii) Incurred advertising expense for May of $1,200 on account.

**Required:**

Indicate whether each of the transactions above results in:

- an increase in assets and a decrease in assets.
- an increase in assets and an increase in owner's equity.
- an increase in assets and an increase in liabilities.
- a decrease in assets and a decrease in owner's equity.
- a decrease in assets and a decrease in liabilities.
- an increase in liabilities and a decrease in owner's equity.
- an increase in owner's equity and a decrease in liabilities.

1. Purchased computer terminals for $20,000 from Digital Equipment on account.
   **c) an increase in assets and an increase in liabilities.**
   *Explanation : This is because asset increase because of purchase and liabilities too as it is a credit purchase.*

2. Paid $4,000 cash for May rent on storage space.
   **(d) a decrease in assets and a decrease in owner's equity.**
   *Explanation : This is because cash which is an asset reduces and since it is an expense it has an effect of profit reducing equity.*

3. Received $15,000 cash from customers for contracts billed in April.
   **(a) an increase in assets and a decrease in assets**
   *Explanation : This is because cash which is an asset increases and since it is an income it has an effect of profit increasing equity.*

4. Provided computer services to Fisher Construction Company for $3,000 cash.
   **(b) an increase in assets and an increase in owner's equity**
   *Explanation : This is because cash which is an asset increases and since it is an income it has an effect of profit increasing equity.*

5. Paid Northern States Power Co. $11,000 cash for energy usage in May.
   **(d) a decrease in assets and a decrease in owner's equity**
   *Explanation : This is because cash which is an asset reduces and since it is an expense it has an effect of profit reducing equity.*

6. Brandon invested an additional $32,000 in the business.
   **(b) an increase in assets and an increase in owner's equity**
   *Explanation : This is because cash which is an asset increases and the owner's contribution also increases having an effect on increase in equity.*

7. Paid Digital Equipment for the terminals purchased in (1) above.
   **(e) a decrease in assets and a decrease in liabilities**
   *Explanation : This is because cash which is an asset reduces and since a creditor is paid off it reduces liability.*

8. Incurred advertising expense for May of $1,200 on account.
   **(f) an increase in liabilities and a decrease in owner's equity**
   *Explanation : This is because a credit purchase increases creditor leading to a rise in liabilities and since it is an expense it has an effect of profit reducing equity.*

c) An analysis of the transactions (in $) made by Zinat Hasan & Co., a certified public accounting firm, for the month of August is shown in table-5. The expenses were $650 for rent, $4,900 for salaries, and $500 for utilities. 13 (CO3) (PO4)

| Transaction No. | Cash | +Accounts Receivable | +Supplies | +Office Equipment | =Accounts Payable | Z.H, Capital | -Z.H, Drawings | +Revenues | - Expenses |
|---|---|---|---|---|---|---|---|---|---|
| i. | +15000 | | | | | -15000 | | | |
| ii. | -2000 | | | +5000 | +3000 | | | | |
| iii. | -750 | | +750 | | | | | | |
| iv. | +4600 | +3700 | | | | | | +8300 | |
| v. | -1500 | | | | -1500 | | | | |
| vi. | -2000 | | | | | | -2000 | | |
| vii. | -650 | | | | | | | | -650 |
| viii. | +450 | -450 | | | | | | | |
| ix. | -4900 | | | | | | | | -4900 |
| x. | | | | | +500 | | | | -500 |

**Table-5**

**Required 1:** Describe each transaction that occurred for the month.
**Required 2:** Determine how much owner's equity increased for the month.

Required 1:

1. Owner invested $15,000 cash in the business.
2. Purchased office equipment for $5,000, paying $2,000 in cash and the balance of $3,000 on account.
3. Paid $750 cash for supplies.
4. Earned $8,300 in revenue, receiving $4,600 cash and $3,700 on account.
5. Paid $1,500 cash on accounts payable.
6. Owner withdrew $2,000 cash for personal use.
7. Paid $650 cash for rent.
8. Collected $450 cash from customers on account.
9. Paid salaries of $4,900.
10. Incurred $500 of utilities expense on account.

Required 2:

Investments+Revenue-Expense-Drawings = increase in capital = increase in owners equity

| | | |
|---|---|---|
| (b) | Investment | $15,000 |
| | Service revenue | 8,300 |
| | Drawings | (2,000) |
| | Rent expense | (650) |
| | Salaries expense | (4,900) |
| | Utilities expense | (500) |
| | Increase in capital | $15,250 |

Net income = revenue - expense

| | | |
|---|---|---|
| (c) | Service revenue | $8,300 |
| | Rent expense | (650) |
| | Salaries expense | (4,900) |
| | Utilities expense | (500) |
| | Net income | $2,250 |